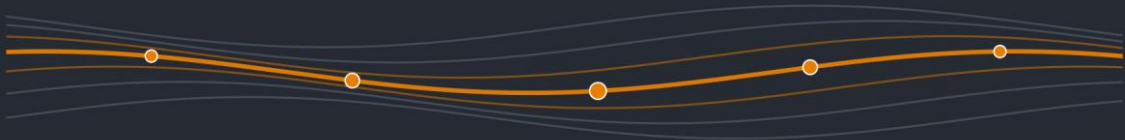


NIGERIA DIGITAL FINANCE OUTLOOK 2026

Stablecoins and Nigeria's Cross-Border Economy

Adoption, use cases and regulatory risks



AUGUST 2026

US\$7.9bn

2025 BASE-CASE ECONOMIC FLOW
Modelled

US\$205m

PROVIDER REVENUE POOL
Modelled

US\$22.6bn

2030 MANAGED SCENARIO
Constant 2026 prices

Desk-research and model-based edition • Data cut-off: 25 August 2026 • Nigeria

POWERING SMART DECISIONS

READER'S NOTE

Scope, evidence and use of this report

A decision report, not an official statistic or legal opinion.

EDITION STATUS

No primary survey, company data partnership or interview programme was conducted for this edition. Adoption, economic-flow, revenue and value-added estimates are Renalytica models built from secondary data.

This report asks a narrower question than most crypto commentary: how much Nigeria-associated stablecoin activity plausibly represents an underlying cross-border payment, trade, income or treasury purpose? The answer cannot be read directly from a blockchain. On-chain transfers include exchange deposits, internal wallet movements, market making, trading and repeated settlement. The report therefore reconciles a reported all-crypto inflow signal with assumptions for stablecoin share, economic retention and cross-border use.

Four outputs are kept separate throughout. Cross-border economic flow is the value of underlying transactions. Provider revenue is what issuers, exchanges, payment firms, liquidity providers and compliance vendors may earn. User savings is the cost improvement against a realistic alternative. Direct Nigerian value added is local output after imported infrastructure and intermediate inputs. None is equivalent to stablecoin market capitalisation.

The report is current to 25 August 2026. Regulatory descriptions distinguish enacted laws, binding rules, conditional regulatory-incubation status, proposals and analyst interpretation. Readers should obtain transaction-specific legal, tax and compliance advice before acting. Company metrics are labelled as company-reported unless independently audited or confirmed by a regulator.

CURRENCY CONVENTION

US dollar values are primary. Naira equivalents use ₦1,500/US\$ as a constant analytical presentation rate, close to the IMF-reported 2025 average of ₦1,520/US\$. It is not an exchange-rate forecast.

FRONT MATTER

Contents

The report is organised as one argument: measure the market, test the business case, map the rules, then decide what to do.

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Reading convention. Exhibit labels identify evidence status: Reported means reproduced from a cited source; Calculated means arithmetic on reported values; Modelled means dependent on Renalytica assumptions; Analyst assessment means a structured judgment that cannot yet be observed nationally.

CENTRAL QUESTION

How large, economically meaningful and sustainable is stablecoin use in Nigeria’s cross-border economy—and what should businesses and policymakers do about it?

FRONT MATTER

Contents and exhibit guide

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Exhibit families

Family	Core exhibits
Market measurement	Flow funnel; anti-double-counting waterfall; adoption ranges; market-size range; sensitivity
Use-case economics	Use-case mix; transaction journey; corridor matrix; all-in cost benchmark
Industry structure	Ecosystem stack; business-model matrix; case-study comparison
Policy and risk	Regulatory timeline; authority perimeter; international comparators; risk heat map; inclusion barriers
Outlook and action	2030 scenario paths; leading indicators; opportunity matrix; stakeholder roadmap

EXECUTIVE SUMMARY 1 OF 4

The market is material—but much smaller than raw on-chain flow

Renalytica’s base case is US\$7.9 billion of cross-border economic use in 2025, with low confidence and a wide range.



Nigeria received more than US\$92.1 billion in all-crypto value between July 2024 and June 2025 according to Chainalysis. That figure is an adoption signal, not a stablecoin payment market. Renalytica applies a 45–70% stablecoin share, retains only 15–30% after removing trading, exchange churn, internal transfers and circular activity, and then attributes 55–75% of the remaining economic flow to cross-border purposes. The compound cases produce US\$3.4–14.5 billion, with US\$7.9 billion in the base case.

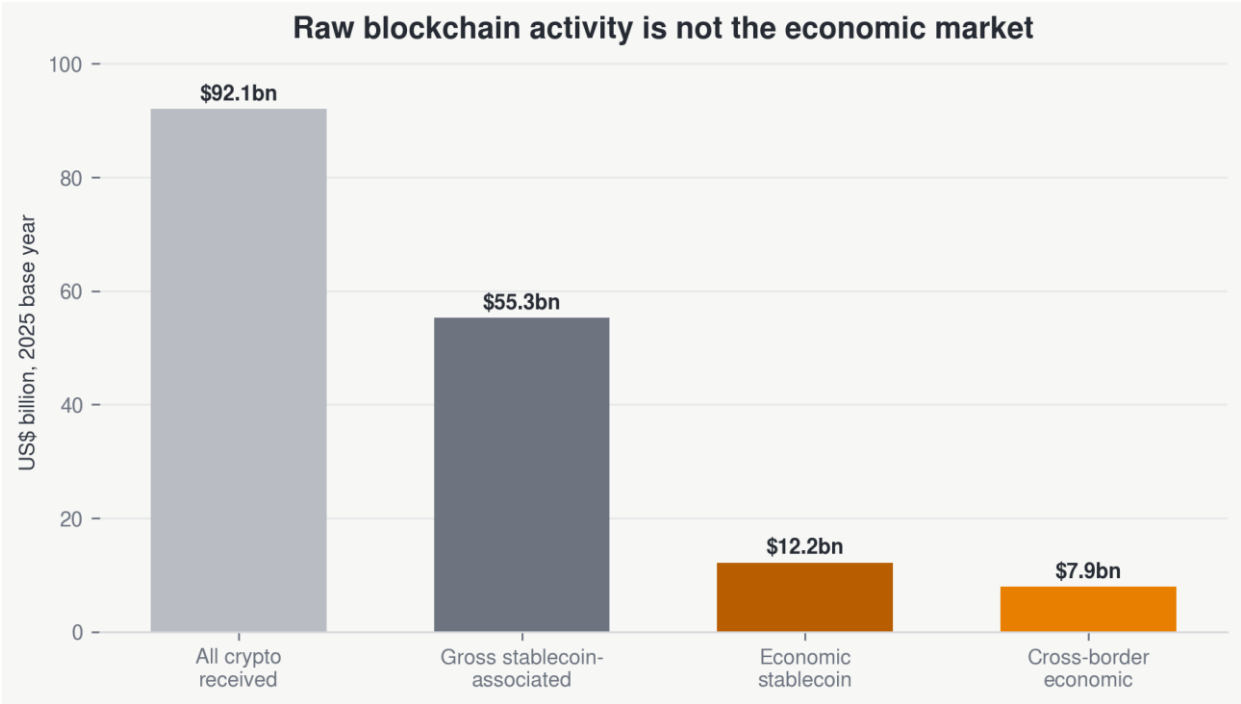
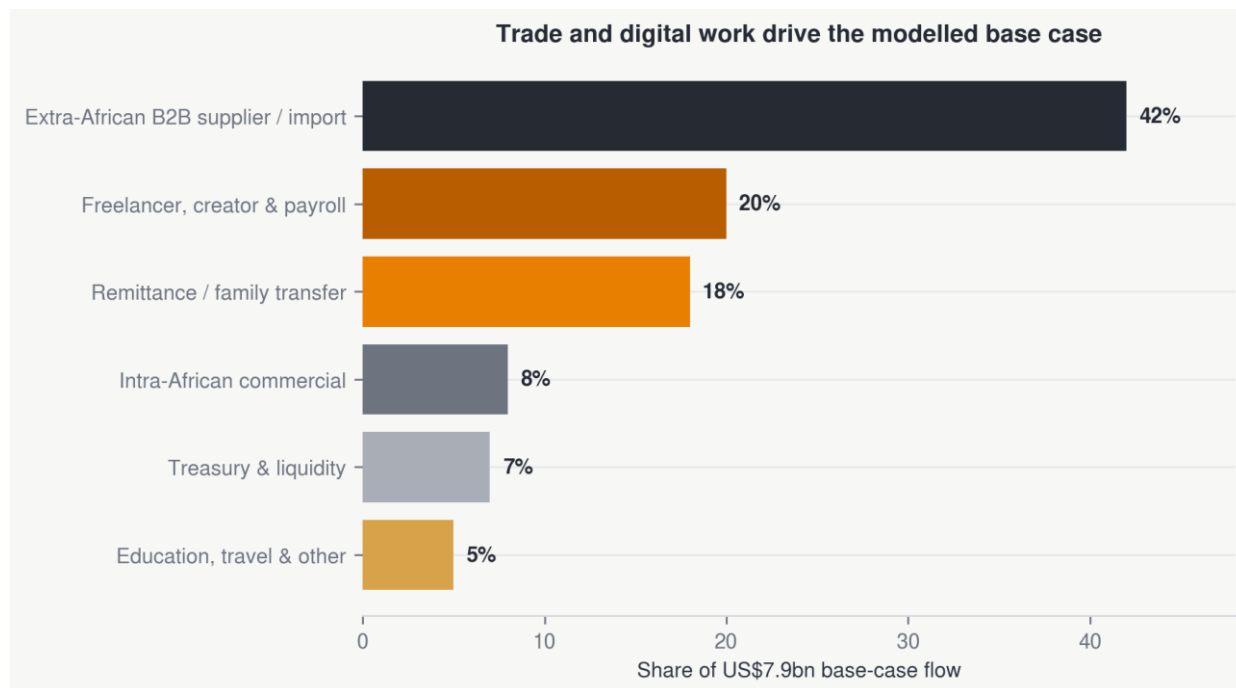


Exhibit ES-1. Reported activity narrows sharply when economic purpose is required
[Reported / Modelled] Chainalysis 2025 SSA report; IMF 2026 Article IV Annex VII; Renalytica model. Periods and definitions differ; values are not directly additive.

WHAT THE MARKET IS NOT
It is not global stablecoin supply, Nigeria’s all-crypto inflow, exchange trading volume, wallet count or the balance of dollar tokens held by Nigerians. Each can be useful evidence, but none isolates an underlying cross-border economic transaction.

EXECUTIVE SUMMARY 2 OF 4

Trade, digital work and remittance form the demand core


Exhibit ES-2. Renalytica base-case use-case mix

[Modelled] Renalytica allocation of the US\$7.9bn 2025 base case. Categories are defined to be mutually exclusive; no national use-case dataset exists.

Extra-African B2B supplier and import settlement is the largest base-case use at 42%. The logic is operational: importers need reliable access to dollar value, suppliers need settlement certainty, and conventional documentation, correspondent banking and FX availability can slow completion. Freelancer, creator and cross-border payroll flows contribute an estimated 20%; household remittance contributes 18%; intra-African commercial settlement 8%; treasury and liquidity management 7%; and education, travel, humanitarian and other uses 5%.

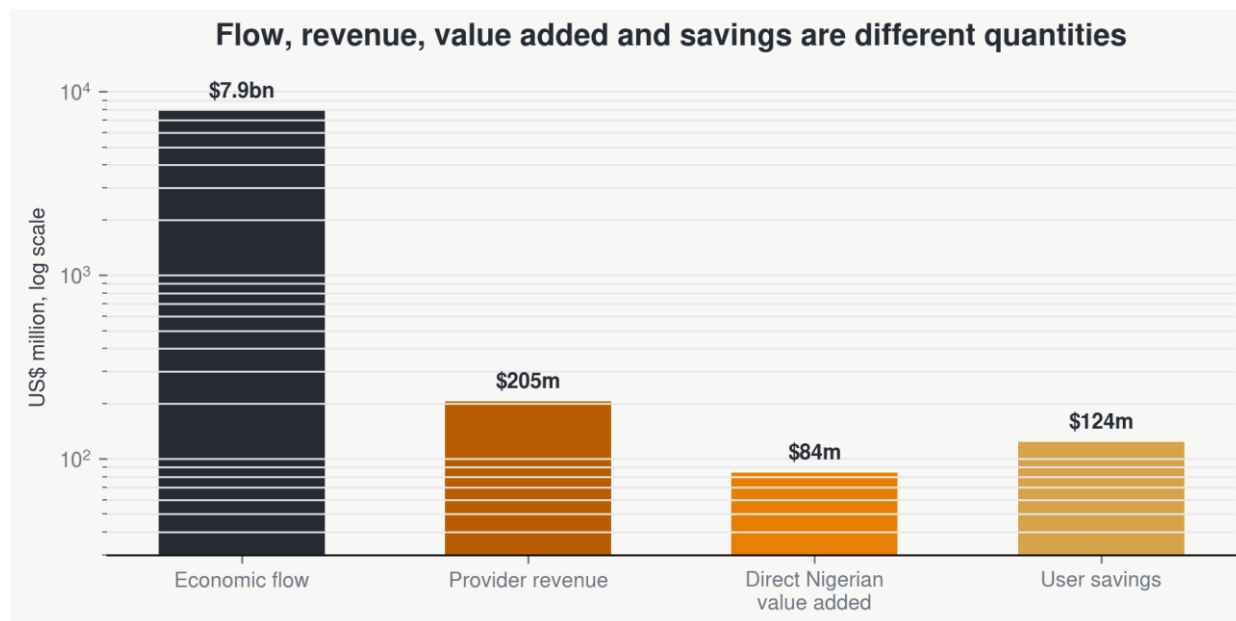
The stablecoin advantage is not automatic. The blockchain transfer may settle in minutes, yet the customer still bears on-ramp and off-ramp spreads, compliance review, liquidity risk, bank-transfer delays, failed-account risk and the possibility of an irreversible transfer. A provider wins when it manages the full journey and can demonstrate lower all-in cost, shorter completion time and better recovery—not when it advertises only a low network fee.

RENALYTICA VIEW

Nigeria's strongest near-term product-market fit is compliance-grade B2B and digital-income orchestration. Pure token access is easy to copy; reliable fiat edges, corridor liquidity, reporting and redress are harder and more valuable.

EXECUTIVE SUMMARY 3 OF 4

Commercial value sits at the service layer, not in transaction volume


Exhibit ES-3. Base-case flow-to-value bridge

[Modelled] US\$7.9bn economic flow × 2.6% blended take rate = US\$205m provider revenue. Direct Nigerian value added and user savings use separate assumptions. Log scale.

A US\$7.9 billion economic flow does not imply a comparably large industry revenue pool. Renalytica applies a blended 2.6% take rate across spreads, transfer fees, subscriptions, liquidity and compliance services, producing approximately US\$205 million. Imported blockchain infrastructure, offshore issuer economics and foreign liquidity mean only part is Nigerian value added; the base case is US\$84 million. Estimated user savings are US\$124 million where stablecoin routes replace more expensive realistic alternatives.

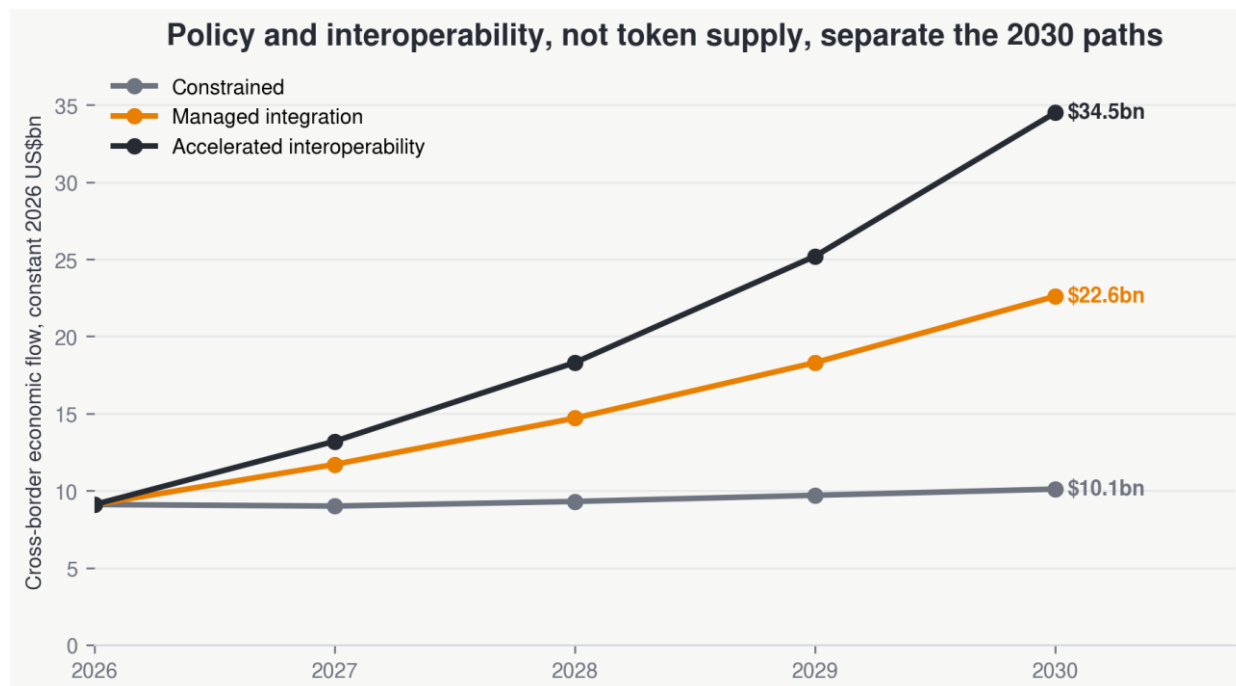
The revenue pool is attractive but contested. Scale may compress spreads, while stronger supervision raises compliance, safeguarding and capital costs. Issuer reserve income is predominantly earned outside Nigeria and should not be booked as local value added. Exchanges and OTC desks earn more when fiat liquidity is fragmented, but that same fragmentation increases bank-access risk. Payment APIs and treasury providers may achieve more durable economics by embedding reconciliation, documentation and compliance into customer workflows.

INVESTOR DISCIPLINE

Demand proof is recurring economic transactions by verified customers, not token volume. The most useful diligence metrics are corridor-level completion rate, median all-in cost, loss rate, recovery rate, active business cohorts, net revenue after liquidity cost and bank-partner concentration.

EXECUTIVE SUMMARY 4 OF 4

Managed integration is the best risk-adjusted 2030 path


Exhibit ES-4. Three decision ranges to 2030

[Modelled] Renalytica scenarios in constant 2026 US dollars. The 2026 value is a nowcast; paths are not forecasts.

Stablecoin use is unlikely to disappear even under a constrained regime because the underlying needs—cross-border income, trade settlement, FX access and value preservation—remain. But it could remain informal, opaque and vulnerable to enforcement shocks. In the constrained scenario, economic flow reaches only US\$10.1 billion by 2030. Managed integration combines clearer licensing, bank and fintech partnerships, use-case reporting, consumer protection and stronger AML/CFT controls, supporting US\$22.6 billion. Accelerated interoperability reaches US\$34.5 billion if regulated rails connect with instant payments, trade systems and African corridors.

The policy choice is not a binary approval or ban. It is whether economically useful activity migrates into supervised channels with transparent fiat conversion and accountable service providers. Nigeria's 2026 coordinating Executive Order and SEC consultation point toward harmonisation, but they do not yet resolve issuer reserves, redemption, cross-border payment licensing, FX treatment or consumer recovery. Poorly sequenced enforcement can push activity back to P2P markets; weak rules can amplify dollarisation, sanctions and consumer-loss risks.

DECISION

Prioritise a joint activity-to-authority perimeter, a stablecoin reporting taxonomy, supervised B2B corridor pilots, bank-account standards, Travel Rule implementation and a consumer-redress protocol. Scale only when cost, loss and FX-visibility metrics support it.

MARKET DASHBOARD

Nigeria stablecoin cross-border economy at a glance

Reported facts and Renalytica estimates are intentionally separated.

US\$92.1bn ALL-CRYPTO VALUE RECEIVED Reported 2025 period	US\$7.9bn ECONOMIC CROSS-BORDER FLOW Modelled base	US\$205m PROVIDER REVENUE POOL Modelled base
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Indicator	Central / reported	Range / period	Status / confidence
Individuals using stablecoins economically	2.4m	1.3–4.8m	Modelled / Low
Businesses using stablecoins economically	105,000	45,000–240,000	Modelled / Low
Stablecoin share of cross-border crypto inflow	>65%	2024	IMF-reported / Moderate
Nigeria share of SSA stablecoin inflow	~60%	Late 2019–early 2025	IMF-reported / Moderate
Personal remittances received	US\$22.8bn	2025	World Bank / High
SSA remittance cost	8.78%	Q1 2025	World Bank / High
Base provider take rate	2.6%	1.8–3.4%	Modelled / Low
2030 managed scenario	US\$22.6bn	Constant 2026 US\$	Modelled / Low

CONFIDENCE

No public dataset directly observes unique Nigerian stablecoin users, cross-border business users, corridor shares or complete economic purpose. These are the four most valuable evidence gaps for a primary-research edition.

ACTION ROADMAP

What each stakeholder should do next

Sequence evidence, safeguards and interoperability before scale

Stakeholder	0–12 months	12–24 months	24–48 months
Government / council	Common taxonomy; policy map	Data-sharing framework	Statutory coordination
CBN / SEC / NFIU	Joint perimeter note	Supervised corridor pilots	Risk-based scale-up
Banks / fintechs	Account and controls design	API / liquidity integration	Enterprise products
Issuers / exchanges	Nigeria disclosures	Redemption + complaints metrics	Interoperable standards
Investors / partners	Fund evidence infrastructure	Back measurable corridor proof	Scale only after loss data

Exhibit AR-1. Stakeholder action roadmap

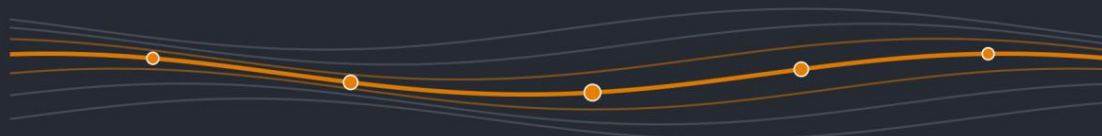
[Analyst assessment] Renalytica. Time horizons begin at publication date.

Owner	Priority	Horizon	Measurable outcome
Government / coordinating council	Publish one perimeter map and implementation tracker	90 days	Activities mapped to lead authority; unresolved items assigned
CBN, SEC and NFIU	Create a reporting-led B2B corridor pilot	6–12 months	Cost, completion, loss, travel-rule and FX data reported monthly
Banks and fintechs	Standardise VASP account controls and incident escalation	6 months	Fewer unexplained account closures; auditable SLA
Issuers and exchanges	Publish Nigeria-relevant reserve, redemption and complaints disclosures	12 months	Redemption time, loss and complaint recovery visible
Investors and development partners	Fund measurement, compliance and redress infrastructure	12–24 months	Proof based on active cohorts and losses, not headline volume

PART I

The market

Stablecoin use is best understood as an alternative cross-border service stack operating inside Nigeria's trade, remittance and digital-work economy.



RENALYTICA / POWERING SMART DECISIONS

1. WHY THIS MATTERS NOW

A payment workaround has become an economic channel

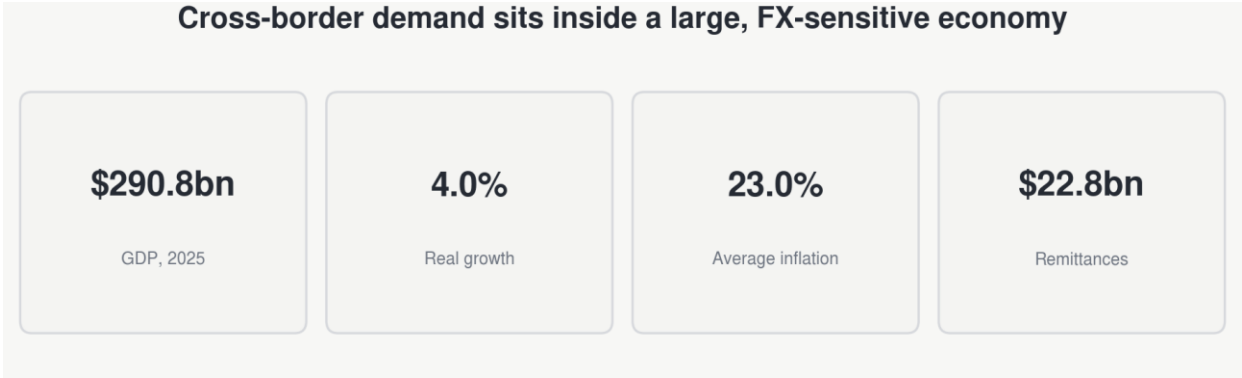


Exhibit 1-1. Nigeria’s cross-border macro context
[Reported] World Bank Nigeria data and remittance indicator; IMF 2026 Article IV. 2025 values.

Nigeria’s cross-border economy combines a large merchandise-trade base, a US\$22.8 billion remittance inflow, growing digital-service exports and persistent demand for foreign currency. These uses do not share the same documentation, ticket size or risk. A household receiving US\$200 from the United Kingdom is not economically equivalent to an importer settling a Chinese supplier invoice or a software developer paid by a US client. Stablecoins can serve all three, but the value proposition and supervisory perimeter differ.

The appeal increased during periods of naira depreciation, inflation and FX scarcity. A dollar token can preserve unit-of-account stability between receipt and use, operate outside business hours and move across borders without a full correspondent-banking chain. Yet it also shifts reserve, custody, fraud, sanctions and redemption risk to private infrastructure. For policy, the question is whether the system improves cross-border efficiency without becoming an opaque parallel dollar network.

TENSION

Stablecoins may reduce payment friction while increasing the monetary and financial-integrity costs of dollar access. Both effects can be true at the same time.

1. WHY THIS MATTERS NOW

Conventional rails set the real benchmark

Method	Completion	Cost stack	Access friction	Risk / redress
Bank / correspondent payment	Hours to days	Fees, FX spread, intermediary deductions	Documentation; cut-offs; rejected transfers	Traceable; reversal sometimes possible
IMTO	Minutes to days	Sender fee + FX spread	Corridor coverage; payout limits	Consumer process generally defined
Card network	Seconds; settlement later	Merchant fee + FX + chargeback cost	Acceptance; category restrictions	Chargeback rights but fraud exposure
Informal FX channel	Variable	Opaque spread / relationship pricing	Counterparty and legality risk	Weak formal redress
Stablecoin-enabled route	Minutes on-chain; end-to-end variable	On/off-ramp + spread + network + compliance	Wallet, liquidity, banking and chain risk	Often irreversible; provider recovery varies
PAPSS / local-currency rail	Near real time where available	Participant / FX pricing	Network and corridor reach	Institutional governance

A valid comparison follows the same corridor, amount, customer and time. Network fees alone understate stablecoin cost, while headline bank or IMTO prices may not capture recipient deductions and FX spreads. The World Bank reported a 6.49% global average remittance cost and 8.78% for Sub-Saharan Africa in Q1 2025, but digital-only money-transfer operators averaged 3.55%. Stablecoins therefore compete against an improving digital benchmark, not only against the most expensive bank channel.

EVIDENCE GAP

Nigeria lacks a repeatable corridor price observatory that measures stablecoin routes and conventional alternatives on the same day, including spread, failed transfers, compliance delays and cash-out cost.

2. MEASUREMENT FRAMEWORK

Definitions must precede valuation

Term	Definition used in this report
Stablecoin	A digital token designed to maintain a reference value through reserves, collateral, algorithms or another stabilisation mechanism.
Nigeria-associated activity	Activity linked to Nigerian users, businesses, exchange traffic, fiat rails or attributed wallets using imperfect analytics and platform records.
On-chain transfer value	Gross blockchain movement; may include trading, exchange internals, bridges, churn and repeated transfers.
Economic stablecoin flow	Value associated with an identifiable payment, trade, income, treasury or preservation purpose after non-economic activity is removed.
Cross-border economic flow	Economic stablecoin flow for which payer, payee, underlying obligation or treasury movement crosses a national boundary.
Provider revenue pool	Fees, spreads, subscriptions, custody, liquidity, compliance and related service income; not transaction value.
Direct Nigerian value added	Local provider output less imported and intermediate inputs; excludes offshore issuer reserve income unless earned locally.

GUARDRAIL

Global stablecoin market capitalisation is the outstanding liability of issuers. It is neither Nigerian adoption nor Nigerian cross-border market size.

2. MEASUREMENT FRAMEWORK

The anti-double-counting bridge

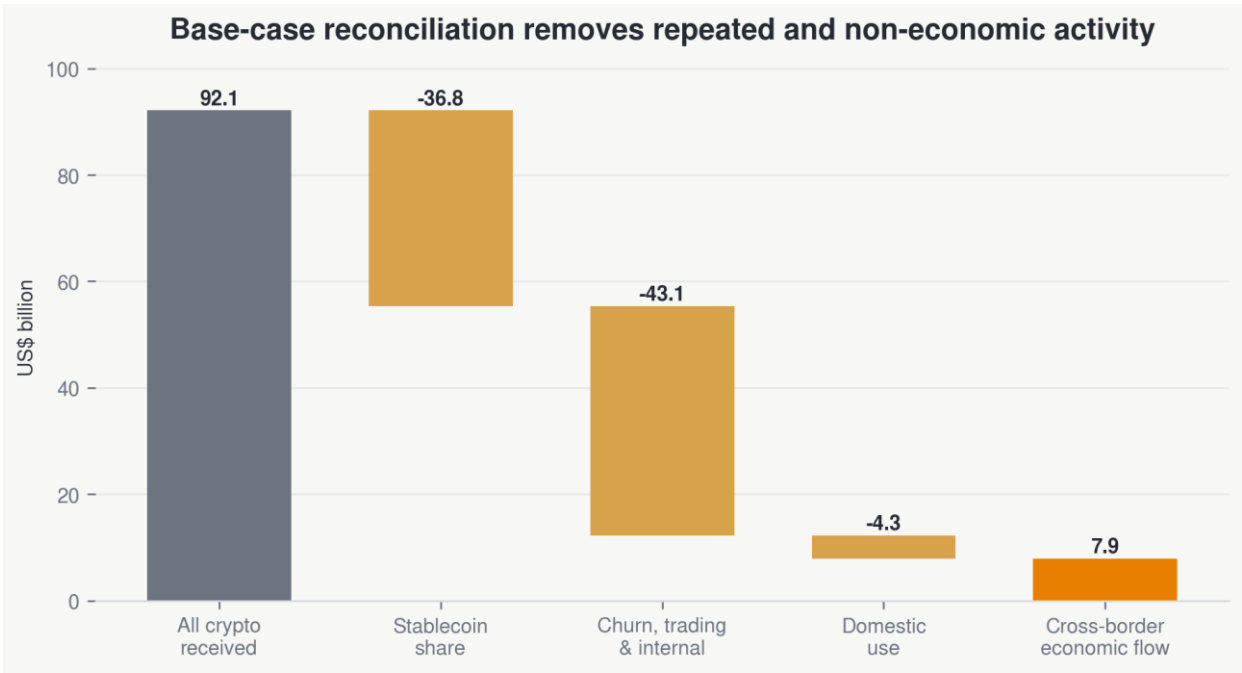


Exhibit 2-1. Base-case anti-double-counting waterfall

[Reported / Modelled] US\$92.1bn all-crypto value: Chainalysis. Stablecoin share, economic-retention and cross-border shares: Renalytica assumptions informed by IMF Annex VII and industry evidence. Rounding applies.

The bridge begins with an all-crypto received-value estimate because no 2025 public source provides a complete Nigeria stablecoin figure using a consistent geographic method. The base case assigns 60% to stablecoins, producing US\$55.3 billion. It then retains 22% as economically attributable after exchange internals, wallet reshuffling, market making, trading, DeFi loops and repeated hops. Finally, 65% of that economic activity is classified as cross-border, producing US\$7.9 billion.

This is not a statistical decomposition of Chainalysis data; it is a transparent inference. The assumptions are correlated and should not be treated as independent probabilities. The low and high cases are internally consistent compound cases, not a 95% confidence interval. A provider-level dataset could replace the weakest assumptions by classifying transaction purpose at fiat entry and exit, then reconciling it with on-chain identifiers without publishing personal information.

WHAT WOULD CHANGE THE RESULT

Audited VASP records showing economic purpose, exchange-internal activity and corridor-linked fiat settlement would carry more weight than another headline wallet-count survey.

2. MEASUREMENT FRAMEWORK

Evidence is strongest at the edges—and weakest at economic purpose

Evidence layer	Confidence	What it supports	Main limitation
Official macro, remittance and trade	High	Economy scale and conventional baseline	Does not identify stablecoin use
Regulator licences, rules and enforcement	High	Legal status and institutional perimeter	May lag market practice
Issuer reserves and circulation	Moderate-high	Global asset scale and redemption structure	Not Nigeria-specific
Blockchain analytics	Moderate	Direction, asset and transfer-size patterns	Geography and purpose are inferred
Platform / company metrics	Moderate-low	Product and operational evidence	Selected, non-comparable, often unaudited
Renalytica model	Low	Economic flow, active users, revenue and scenarios	Sensitive to churn and use-case assumptions

Triangulation methods

- Top-down: reported all-crypto value × stablecoin share × economic-retention share × cross-border share.
- Bottom-up: active individuals and businesses × transaction frequency × ticket size, segmented by use case.
- Benchmark: compare the resulting flow with remittance, trade and service-export orders of magnitude—not as additive totals.
- Commercial check: apply business-model-specific take rates and confirm that projected revenue can cover liquidity, compliance, fraud and distribution costs.

CONTRADICTIONARY EVIDENCE

Nigeria's high crypto-adoption rank coexists with tiny cNGN usage and a 2025 purchase mix still dominated by bitcoin in Chainalysis-tracked fiat purchases. Adoption is broad; stablecoin economic use is not uniform.

3. STABLECOIN AND MACRO CONTEXT

Not all ‘stable’ tokens carry the same risk

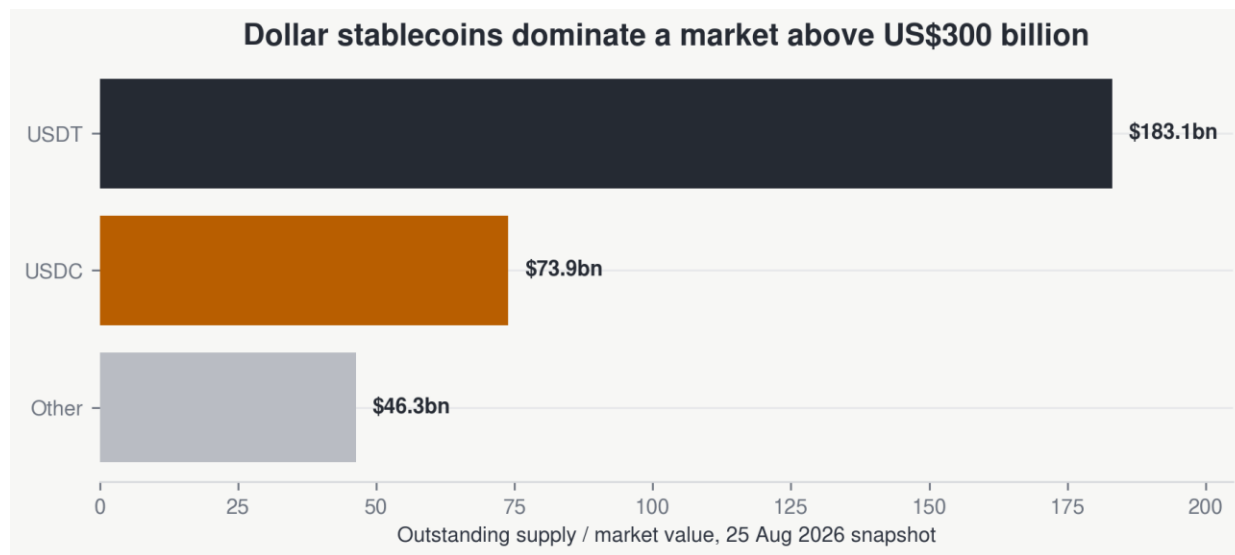
Structure	Stabilisation basis	Examples	Dominant risk	Nigeria relevance
Fiat-reserve-backed	Cash, deposits, short sovereign instruments and equivalents	USDT, USDC	Reserve, issuer, banking, redemption, sanctions	Most relevant
Crypto-collateralised	Overcollateralised crypto and liquidation rules	DAI / USDS-type	Collateral volatility, governance, smart contracts	Secondary
Commodity-linked	Claim on gold or other commodity exposure	XAUT-type	Custody, valuation, redemption and legal title	Niche
Algorithmic / hybrid	Incentives, endogenous assets or partial collateral	Varies	Run dynamics and reflexive depeg	High caution
Local-currency fiat-backed	Naira deposits / liquid assets	cNGN	Adoption, reserve, legal claim, interoperability	Experimental

USD reserve-backed tokens matter most for Nigerian cross-border use because global liquidity and counterpart demand are deepest in dollars. BIS research estimated that roughly 98% of stablecoin market value is denominated in US dollars. That network effect improves exchangeability but imports the governance, reserve and sanctions framework of foreign issuers into Nigerian payments.

A one-dollar reference price is not a guarantee. Users face two redemption layers: the token’s claim on the issuer and the local service provider’s ability to convert it into useful fiat. A token may hold its peg while a Nigerian user pays a wide naira spread or cannot access a bank account. The product’s true unit is therefore token plus chain plus wallet plus liquidity plus fiat rail plus compliance process.

3. STABLECOIN AND MACRO CONTEXT

Global scale explains liquidity—not Nigerian market size

**Exhibit 3-1. Global stablecoin market snapshot**

[Reported] DefiLlama stablecoin dashboard, accessed 25 August 2026. Commercial aggregation; values change continuously.

Global stablecoin supply was approximately US\$303.3 billion on 25 August 2026. USDT accounted for about US\$183.1 billion and USDC US\$73.9 billion. Supply concentration has two opposing implications for Nigeria. Deep liquidity lowers conversion friction and makes assets more acceptable to cross-border counterparties. It also concentrates reserve, operational, governance and sanctions exposure in a small number of foreign institutions.

Issuer disclosures have improved. Tether announced an unqualified KPMG US audit opinion on its 2025 financial statements and reported a US\$4.11 billion reserve buffer at Q2 2026. Circle reported US\$73.3 billion USDC in circulation at Q2 2026, with weekly reserve disclosure and monthly assurance. These facts improve diligence but do not eliminate market, custody or access risk—and they do not show how many Nigerians use each token for economic payments.

RENALYTICA VIEW

Nigeria should regulate the service and risk chain around a token, not treat issuer size as a substitute for local consumer protection or FX visibility.

3. STABLECOIN AND MACRO CONTEXT

The macro incentive weakened in 2025—but did not disappear

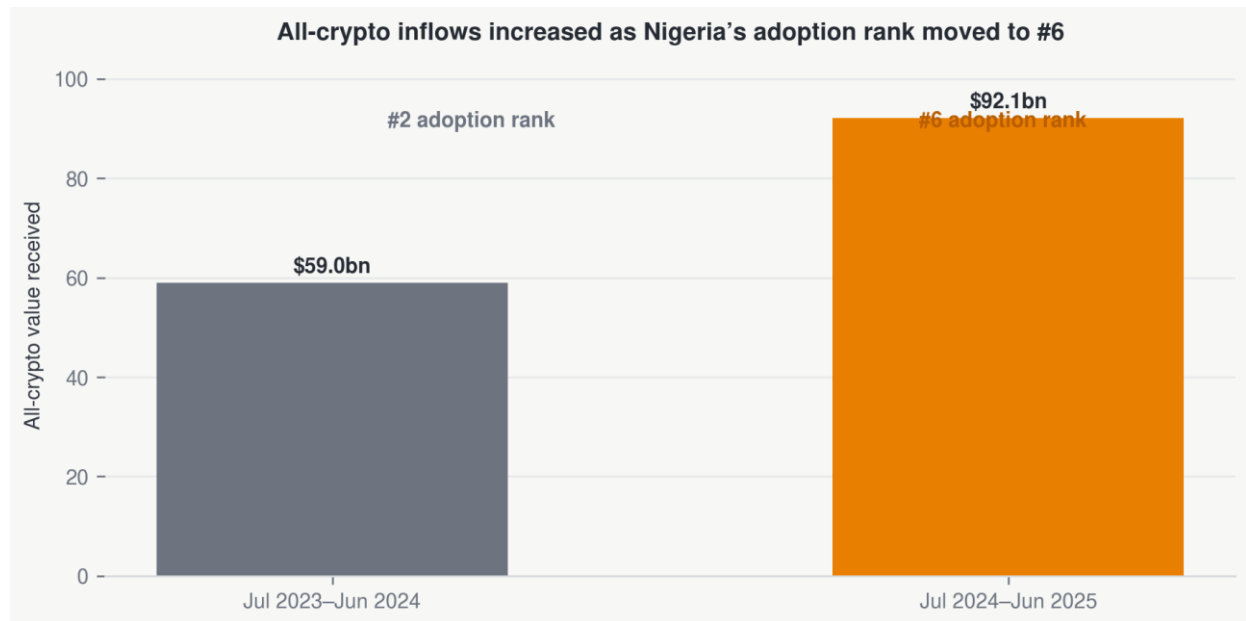
Indicator	Value	Period	Source
Real GDP growth	4.0%	2025	IMF / World Bank
Average consumer inflation	23.0%	2025	IMF / World Bank
Official average exchange rate	₦1,520/US\$	2025	IMF
End-period exchange rate	₦1,435/US\$	End-2025	IMF
Gross international reserves	US\$45.8bn	End-2025	IMF
Current-account balance	US\$14.0bn surplus	2025	IMF
Personal remittances	US\$22.8bn	2025	World Bank WDI

Nigeria's macro position improved in 2025: growth strengthened, reserves rose and the current account remained in surplus. Inflation nevertheless averaged 23%, while businesses continued to manage the timing and documentation of foreign-currency payments. Stablecoin demand is therefore not reducible to a single crisis variable. Hedging demand may fall if inflation and FX volatility continue to moderate, while payment and settlement demand can persist because of speed, operating hours and counterparty reach.

The IMF's policy concern is digital dollarisation: if households and firms increasingly price, save and settle in foreign private money, naira demand and monetary transmission may weaken. Current evidence of bank deposit migration remains limited, but the direction deserves monitoring. The policy response should improve naira and conventional payment functionality while bringing stablecoin conversion into reportable, supervised channels.

4. ADOPTION

Nigeria's adoption signals are large, but user counts remain unobserved


Exhibit 4-1. Reported all-crypto inflow and adoption rank

[Reported] Chainalysis 2024 and 2025 Geography of Cryptocurrency reports. Values are estimates based on on-chain data and geographic attribution; they are not unique users or economic stablecoin flows.

Chainalysis estimated that Nigeria received about US\$59 billion in all-crypto value from July 2023 to June 2024 and more than US\$92.1 billion in the following twelve-month period. Nigeria ranked second in the 2024 Global Crypto Adoption Index and sixth in 2025. IMF analysis also found that Nigeria accounted for roughly 60% of Sub-Saharan African stablecoin inflows from late 2019 to early 2025 and that stablecoins represented more than 65% of Nigeria's cross-border crypto inflows in 2024.

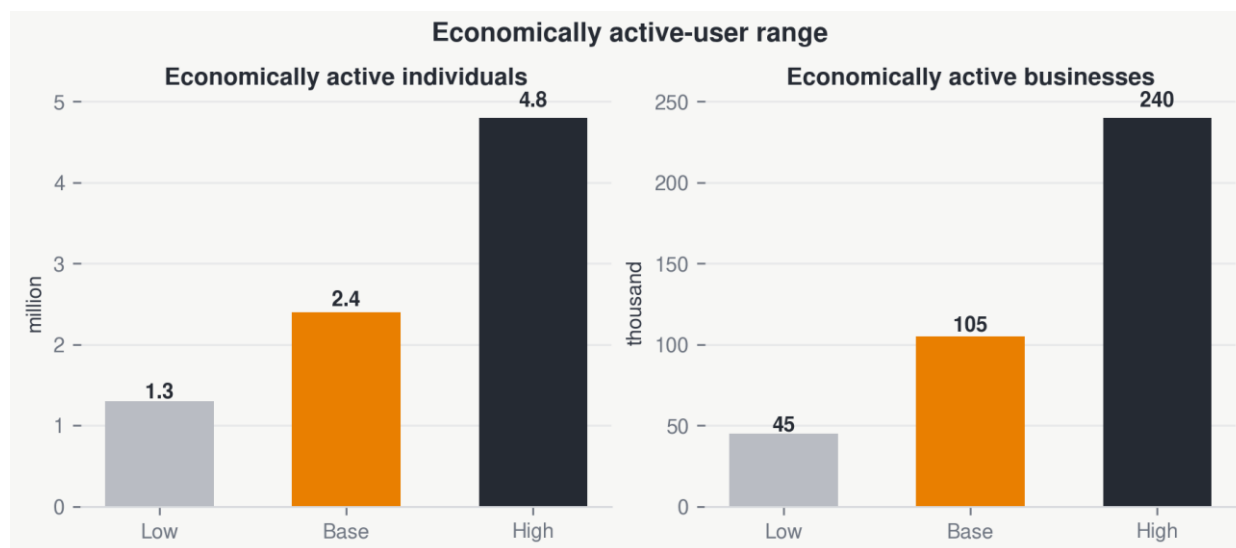
These indicators establish that Nigeria is a major market. They do not reveal active economic users. One person can operate several exchange accounts and wallets; one transaction may traverse multiple addresses; exchange deposits may be traded repeatedly; IP-based web traffic can be distorted by VPN use. A user estimate must therefore combine verified active accounts, economic-purpose classification and transaction-frequency evidence—not downloads, registrations or wallet addresses alone.

EVIDENCE GAP

The widely cited estimate of 25.9 million Nigerian digital-asset users in 2025 is not an official active-user series and should not be interpreted as cross-border stablecoin adoption.

4. ADOPTION

Renalytica estimates 2.4 million active individuals and 105,000 businesses


Exhibit 4-2. Modelled economically active users

[Modelled] Renalytica. Active means at least one stablecoin transaction tied to payment, income, trade, treasury or value-preservation purpose during the year; it excludes pure speculative trading.

The base case is calibrated to the economic flow model rather than to registration data. Individuals are segmented into remittance participants, freelancers and creators, students and travellers, household hedgers and microbusiness owners. Businesses include microenterprises, SMEs, corporates and payment intermediaries. Ticket size and frequency differ sharply: a remittance receiver may transact monthly at a few hundred dollars, while a trading SME can settle multiple invoices of tens of thousands of dollars.

The resulting range—1.3–4.8 million individuals and 45,000–240,000 businesses—is intentionally broad. At the base, 2.4 million individuals and 105,000 businesses are consistent with US\$7.9 billion of economic flow after allowing for overlap between owners and enterprises. The model is sensitive to high-value business activity: a relatively small number of importers, OTC clients and payment providers can generate a large share of value without implying mass consumer adoption.

INTERPRETATION

Adoption by people and concentration by value can rise together. The market can be socially broad yet economically dominated by business and liquidity flows.

4. ADOPTION

Access channels form a hybrid regulated–informal network

Channel	Function	Control point	Primary risk
Regulated exchange / ARIP participant	NGN deposit, trade, custody, withdrawal	KYC and platform controls	Conditional status, bank access, custody
Foreign exchange	Broader liquidity and token pairs	Foreign licensing; geolocation controls vary	Nigerian perimeter and recourse
P2P marketplace	Buyer and seller match with escrow	Platform KYC may cover account, not counterparty funds	Fraud, mule accounts, chargeback / reversal
OTC desk / broker	Large tickets and bespoke liquidity	Quality varies from institutional to informal	Counterparty, pricing and reporting
Self-custody wallet	Direct ownership and transfer	User controls keys	Loss, sanctions screening, irreversible error
Fintech / API	Stablecoin hidden behind payment workflow	Provider and partner controls	Layered accountability
Informal agent	Cash / bank conversion and assistance	Often relationship-based	Weak disclosure and redress

Users do not necessarily stay within one channel. A freelancer may receive USDC into a self-custody wallet, swap to USDT for liquidity, send it to an exchange, then withdraw naira through a bank. An importer may source through an OTC broker and settle directly to a supplier wallet. Each transition changes the responsible institution and can break the transaction's audit trail.

CONTROL OPPORTUNITY

The most effective compliance design attaches a persistent payment-purpose and counterparty record to the service journey, while exposing only the minimum personal data required.

4. ADOPTION

Motives differ by user—and so should product design

User	Primary motive	Pattern	Dominant risk	Required product
Remittance household	Receive value quickly; protect against FX timing	Monthly / episodic	Wrong address, scam, cash-out spread	Simple payout and recovery
Freelancer / creator	Receive foreign income; invoice in dollars	Weekly / monthly	Platform restriction, tax records, off-ramp	Invoice + compliance + bank payout
Microenterprise / SME	Pay supplier; hold working liquidity	Weekly / invoice-based	Counterparty, FX rule, documentation	Treasury controls and approval workflow
Corporate / payment firm	Settle, net and manage liquidity	High frequency	Licence, sanctions, reserves, bank partners	API, reporting and SLA
Household saver	Preserve value against inflation	Irregular holding	Issuer, custody, loss, dollarisation	Disclosure and suitability
Trader	Market exposure and liquidity	High frequency	Volatility, leverage, liquidation	Outside economic-flow estimate

USDT is likely to dominate where liquidity and counterparty acceptance are decisive; USDC may appeal where institutional reserve transparency and compliance posture matter; other assets occupy niche use cases. Nigeria-specific shares are not publicly observed. The report therefore uses a provisional base mix of 72% USDT, 18% USDC and 10% other stablecoins only for sensitivity and infrastructure analysis—not as a reported market share.

PRIMARY-RESEARCH PRIORITY

Measure unique active users, purpose, stablecoin, transaction frequency, ticket, corridor, all-in cost, failed transactions and fallback method in the same instrument.

5. USE CASES AND CORRIDORS

Six use cases explain the economic base case

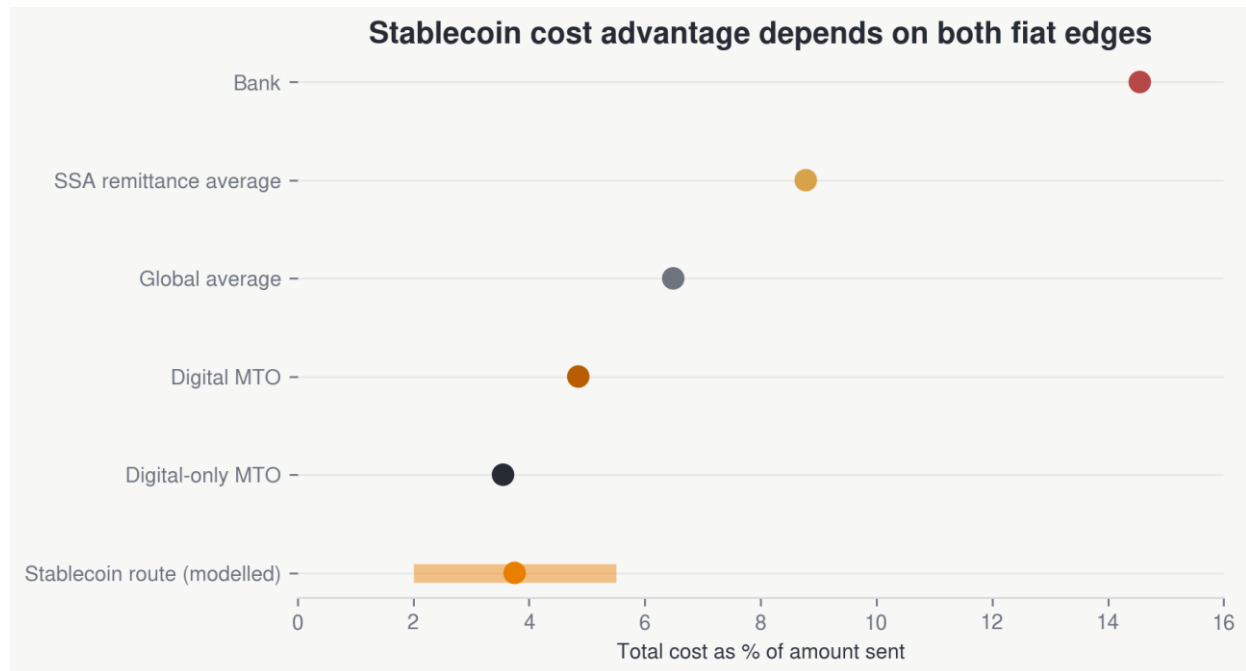
Use case	2025 base flow	Share	Primary user	Corridors
Extra-African B2B supplier / import	US\$3.32bn	42%	SME and corporate	China, UAE, EU, other
Freelancer, creator and payroll	US\$1.58bn	20%	Individuals and service firms	US, UK, EU
Remittance / family transfer	US\$1.42bn	18%	Households	US, UK, EU, intra-Africa
Intra-African commercial	US\$0.63bn	8%	Traders and SMEs	West, East and Southern Africa
Treasury and liquidity	US\$0.55bn	7%	Corporates, fintechs, brokers	Multi-corridor
Education, travel, humanitarian, other	US\$0.40bn	5%	Households and institutions	UK, EU, North America, other

The allocation is not a survey result. It combines IMF descriptions of retail, SME, importer and corporate use with Chainalysis evidence of high-value trade-related transfers and sector knowledge about Nigeria's remittance and digital-work economy. The categories are defined to avoid overlap: extra-African B2B excludes intra-African commercial settlement; treasury excludes an underlying supplier or payroll payment already assigned elsewhere.

Value and user counts are distributed differently. Household remittance may involve many users at small tickets, while trade and treasury flows may involve fewer customers and higher concentration. Risk controls and pricing must therefore be use-case-specific rather than set by token or wallet alone.

5. USE CASES AND CORRIDORS

Remittance: lower potential cost, higher user-responsibility risk

**Exhibit 5-1. Cost benchmark for sending money**

[Reported / Modelled] World Bank Remittance Prices Worldwide Q1 2025; Renalytica stablecoin all-in route range. Bank value is the World Bank provider-type average, not Nigeria corridor-specific.

Nigeria received about US\$22.8 billion in personal remittances in 2025. Renalytica's stablecoin remittance base case of US\$1.42 billion is roughly 6% of that official inflow, which is plausible but not directly observed. A stablecoin route can be cheaper when sender funding, token transfer and recipient cash-out are all competitive. It can be more expensive when thin naira liquidity, compliance holds or small-ticket network fees widen the all-in cost.

Consumer risk is asymmetrical. An experienced sender may understand wallet networks and exchange spreads; the recipient may not. A mistaken chain, impersonated agent or compromised device can eliminate the savings from many successful transfers. Providers should quote the amount received in naira, disclose every cost component, verify beneficiary details, support address screening and publish recovery outcomes. Stablecoin remittance should be judged against digital IMTOs and local-currency alternatives, not only against bank averages.

TESTABLE PROPOSITION

On three priority corridors and common ticket sizes, a supervised provider should show at least a two-percentage-point median cost advantage with no worse completion and loss rates than digital IMTOs.

5. USE CASES AND CORRIDORS

Freelancer and creator payouts: the cleanest income use case

Nigeria's remote workers and creators often earn from clients or platforms that pay in dollars but do not provide convenient local settlement. Stablecoins can shorten receipt time, enable smaller invoices and preserve dollar value until conversion. The base-case US\$1.58 billion combines freelance invoices, creator payouts and cross-border payroll. It excludes speculative trading and local income merely converted into a stablecoin after receipt.

Stage	Economic event	Control requirement
1. Contract / platform	Worker establishes service and invoice	Identity, beneficial owner, tax record
2. Payer conversion	Client or platform acquires USDT / USDC	Funding source and sanctions screening
3. Wallet receipt	Worker receives stablecoin	Network selection, address verification, custody
4. Hold / convert	Worker holds, swaps or sells	Issuer and liquidity risk
5. Bank payout	Exchange or provider sends naira	Name matching, bank monitoring, tax evidence

The most valuable product is not a wallet alone. It combines contract or platform evidence, compliant receipt, invoice generation, local payout, transaction history and tax-ready statements. These records can also improve access to credit because they convert volatile wallet flows into verified service income. The risk is misclassification: an unexplained stablecoin deposit may look like trading or suspicious activity even when it reflects legitimate export earnings.

WHAT WOULD PROVE SCALE

Provider data showing unique workers, client country, invoice value, repeat rate, median cash-out time and share of receipts retained versus converted.

5. USE CASES AND CORRIDORS

B2B import settlement carries the largest value—and the hardest rules

Extra-African supplier and import settlement contributes US\$3.32 billion in the base case. The commercial attraction is clear: an importer can secure dollar value and settle a willing supplier without waiting for multiple correspondent steps. Chainalysis reported frequent multi-million-dollar stablecoin transfers linked by industry participants to trade between Africa, the Middle East and Asia. That evidence is suggestive rather than a Nigeria corridor ledger.

Control point	Required record	Why it matters
Invoice and goods	Supplier, importer, product, amount and terms	Trade documentation and beneficial ownership
Naira funding	Bank transfer / authorized source	Source of funds and FX treatment
Token acquisition	Exchange, OTC or payment provider	Licence, price, liquidity and Travel Rule
Cross-border transfer	Supplier wallet or provider	Sanctions, chain analytics and counterparty verification
Supplier conversion	Stablecoin retained or converted	Local rules and settlement evidence
Reconciliation	Invoice marked paid; records retained	Tax, customs and audit trail

A token transfer cannot substitute for import documentation, authorized-dealer requirements or sanctions controls. The investable opportunity is a compliance-grade orchestration layer that links invoice, funding, wallet transfer, screening and settlement evidence. A provider that cannot explain the underlying trade will remain vulnerable to bank de-risking even if its blockchain controls are strong.

5. USE CASES AND CORRIDORS

Intra-African settlement has a strong non-token competitor

Renalytica assigns US\$0.63 billion of the 2025 base case to intra-African commercial settlement. Stablecoins can bridge fragmented currency pairs and operate outside banking hours, but they also insert the US dollar into a transaction that may begin and end in African currencies. This can solve a liquidity problem while reinforcing dollar intermediation and creating two conversion spreads.

Route	Value path	Advantage	Constraint
Stablecoin route	NGN → USD token → destination currency	Global liquidity; 24/7	Two fiat edges; issuer and AML risk
PAPSS	NGN payment; local-currency receipt / central-bank settlement	Local-currency design; institutional governance	Participant reach, corridor liquidity, documentation
Correspondent bank	NGN / USD via bank chain	Established controls and trade services	Time, cost and correspondent deductions
Regional fintech / mobile money	Local collection and payout via partners	Good customer interface	Prefunding, partner and licence fragmentation

PAPSS reports operation in 18 countries across four African regions and supports real-time local-currency payment through participating institutions. It is a comparator, not a stablecoin case. The strategic question is whether stablecoin liquidity can complement regulated regional rails—for example as an institutional settlement asset under strict conditions—or whether local-currency infrastructure can remove the need for dollar tokens on priority corridors.

POLICY TEST

Measure identical SME payments on stablecoin, PAPSS and conventional fintech rails. The winning route should minimise total cost and exception handling while preserving FX and AML/CFT visibility.

5. USE CASES AND CORRIDORS

Treasury use is economically useful—and macro-sensitive

Businesses and payment firms may hold stablecoins to bridge weekends, prefund corridors, manage collections, net obligations or reduce repeated bank transfers. Renalytica assigns US\$0.55 billion to treasury and liquidity activity only where the movement supports an operational cross-border need. Exchange inventory, market-making balances and speculative dollar positioning are removed from economic flow even if they support market liquidity indirectly.

Treasury use	Benefit	Risk	Minimum control
Working-liquidity buffer	Avoid settlement cut-offs	Issuer and custody concentration	Limit, approved assets, daily reconciliation
Corridor prefunding	Speed payout and reduce failed settlement	Idle capital and counterparty risk	Segregation and exposure limits
Net settlement	Reduce gross transfers	Legal finality and record linkage	Documented netting rules
FX timing	Manage invoice-to-payment mismatch	Dollarisation and market risk	Purpose, tenor and board policy
Merchant collection	Receive global customer payments	Consumer, tax and chargeback mismatch	Invoice and refund workflow

Treasury products should be sold as controlled payment infrastructure, not effortless dollar savings. Boards need asset eligibility, wallet authority, counterparty limits, sanctions procedures, valuation, accounting, incident response and exit tests. A bank-integrated product can improve control but may raise capital, safeguarding or balance-sheet questions that Nigeria's evolving framework has not fully answered.

5. USE CASES AND CORRIDORS

Education, travel and humanitarian transfers remain niche but consequential

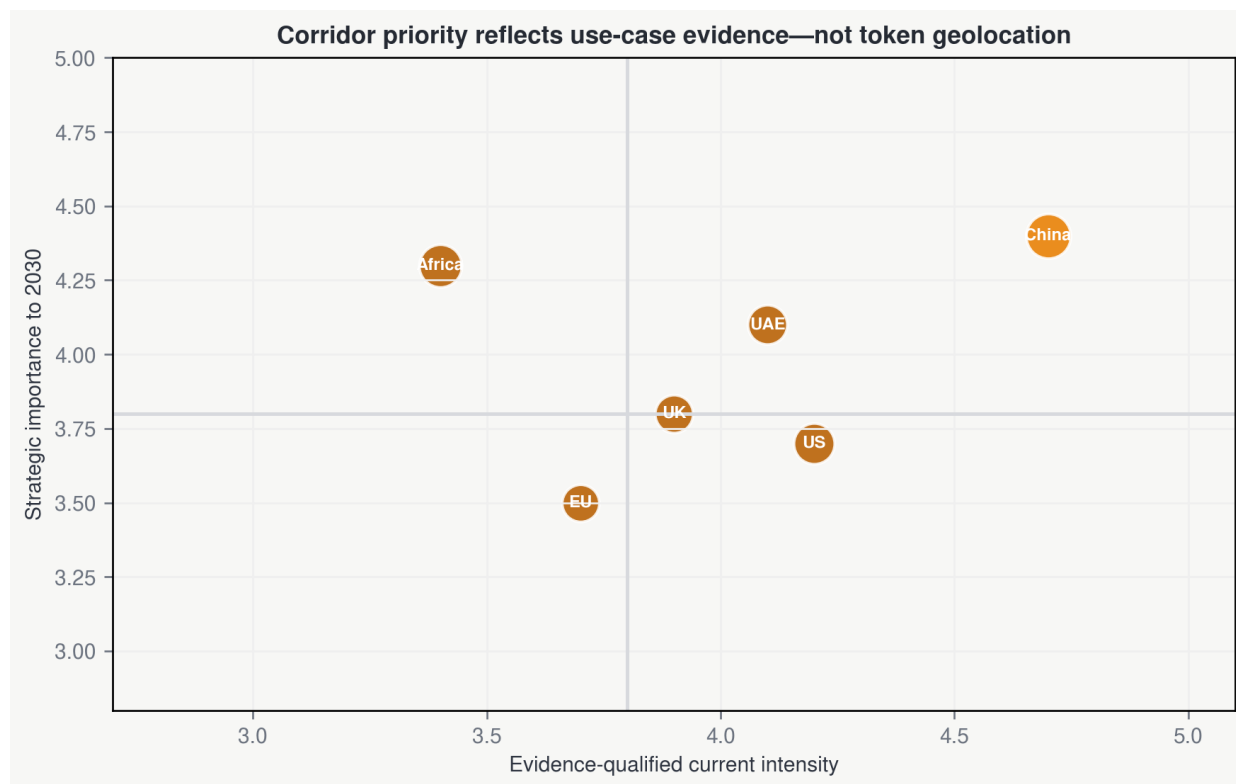
Use	Transaction	Potential benefit	Dominant control issue
Education	Tuition, living expenses, application fees	Time-critical foreign payment	Institution acceptance; documentation; refund
Travel	Bookings and trip spending	Card acceptance / FX access alternative	Consumer disputes; volatility between token and local prices
Humanitarian	Rapid transfer into difficult locations	Programmability and operating hours	Sanctions, beneficiary protection, data and cash-out
Merchant settlement	Global online sales and checkout	Access to foreign customers	Chargeback mismatch, tax and consumer law
Savings / hedging	Preserve dollar value	Accessible unit of account	Issuer, custody, dollarisation and suitability

These uses account for only US\$0.40 billion in the cross-border base case because the available evidence is sparse and some spending may be captured inside remittance or card flows. Savings and hedging are economically important but generally not cross-border economic flow unless the acquisition or use settles an international obligation. A resident buying USDT and holding it in Nigeria is adoption and portfolio substitution, not necessarily a cross-border payment.

Humanitarian use deserves careful treatment. Speed can help during disruption, but beneficiary wallet safety, sanctions screening, local cash-out and data minimisation remain binding. Programmability can improve control only if governance, recovery and exceptions are designed for real users rather than idealised wallets.

5. USE CASES AND CORRIDORS

Corridor intensity is inferred, not observed

**Exhibit 5-2. Evidence-qualified corridor priority**

[Analyst assessment] Renalytica synthesis of Nigeria trade, remittance, digital-work and provider evidence. Bubble size represents qualitative market opportunity, not measured flow.

China and the UAE rank highly because of merchandise sourcing, trade hubs and supplier settlement. The United States, United Kingdom and European Union combine diaspora remittance with freelance, creator and service-export income. Intra-African corridors are strategically important for AfCFTA and SME trade but face competition from PAPSS, regional fintechs and mobile-money interoperability. Evidence does not support precise stablecoin flow shares by corridor.

A blockchain address does not reveal the legal residence or economic role of both parties. Exchange-hosted wallets may aggregate customers from several countries; a token can cross multiple chains through bridges; a payment firm may net obligations offshore before local payout. Corridor claims should therefore be tied to verified fiat entry and exit, invoice or payroll records, and counterpart jurisdiction—not to token destination alone.

DATA STANDARD

A corridor record should include payer and payee country, customer type, use-case code, fiat currencies, stablecoin, chain, gross amount, total fee, FX spread, completion time, exception and final payout—subject to privacy controls.

5. USE CASES AND CORRIDORS

The China and UAE routes require enterprise-grade controls

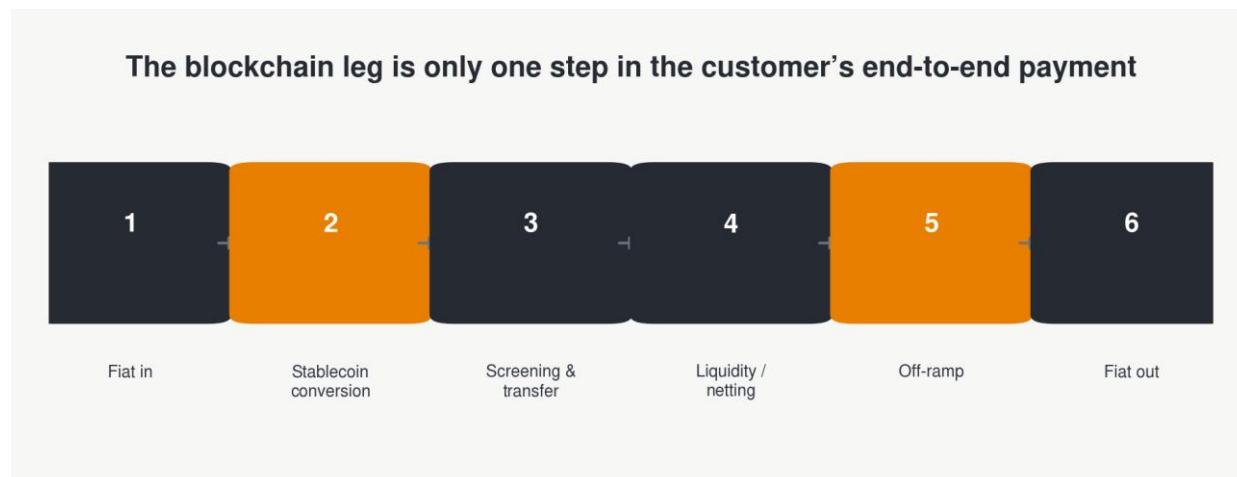
Corridor	Primary use	Required evidence	Dominant execution risk
Nigeria → China	Supplier / import settlement	Invoice, shipping and beneficial-owner data	Counterparty wallet, sanctions, trade documentation, CNY conversion
Nigeria → UAE	Trade hub, treasury and re-export settlement	Invoice, source of funds, counterparty business	Layering risk, free-zone entities, onward transfers
US / UK / EU → Nigeria	Remittance, freelance and payroll	Sender identity, income / family purpose	Consumer recovery, tax records, recipient cash-out
Nigeria ↔ Africa	SME trade, salary and family transfer	Origin/destination and economic purpose	Regional licence, local liquidity, PAPSS comparison
Nigeria → education markets	Tuition and student support	Admission / invoice / beneficiary institution	Refund and proof-of-payment acceptance

Enterprise routes need a stronger standard than retail token transfer. The provider must know the underlying payer, ultimate beneficiary, commercial purpose and expected transaction pattern; screen both parties and wallets; retain trade evidence; and reconcile token settlement to fiat funding and supplier receipt. When a provider relies on multiple foreign exchanges, liquidity desks and banks, accountability should not disappear between contracts.

The strongest commercial proposition is settlement assurance. An importer values a confirmed supplier receipt, matched invoice and predictable landed FX cost more than token custody. Providers should price and report the whole outcome, including exceptions. An attractive headline spread with a high compliance-rejection or failed-payout rate is not a lower-cost product.

5. USE CASES AND CORRIDORS

End-to-end design determines whether the promise is real

**Exhibit 5-3. Generic stablecoin-enabled payment journey**

[Analyst assessment] Renalytica. Actual journeys vary by provider, token, chain, corridor and customer.

Stage	Service	Cost / risk to measure
Fiat in	Bank / card / cash / mobile transfer	Funding fee, reversal risk, name mismatch
Conversion	NGN or foreign fiat into token	Quoted spread, venue fee, liquidity depth
Transfer	On-chain move	Network fee, congestion, wrong chain / address
Compliance	KYC, sanctions and transaction review	Delay, false positive, information sharing
Liquidity / netting	Provider manages inventory	Capital cost, counterparty and FX exposure
Fiat out	Bank / mobile / cash payout	Spread, payout fee, bank risk, recipient verification

CUSTOMER OUTCOME

Quote and monitor: amount received, total cost, median and 95th-percentile completion time, failed-transfer rate, fraud loss, recovery rate and complaint resolution time.

6. MARKET SIZE AND ECONOMICS

The model sizes four quantities, not one

Quantity	Meaning	Core formula	Unit
Adoption	Unique economically active individuals and businesses	Active user × verified purpose	Users / businesses
Cross-border economic flow	Underlying payment, trade, income or treasury value	Gross activity × stablecoin share × economic retention × cross-border share	US\$ / year
Provider revenue pool	Fees, spreads, subscriptions, custody, liquidity, compliance	Use-case flow × relevant monetisation	US\$ / year
User savings	Cost/time/risk improvement against a realistic alternative	Eligible flow × cost advantage	US\$ / year
Direct Nigerian value added	Local output less imported / intermediate inputs	Provider revenue × local value-added share	US\$ / year

The top-down model is the primary method because a public national user dataset does not exist. A bottom-up adoption model provides a plausibility check using segment-specific frequencies and tickets. The two methods are reconciled at the use-case level, with high-value business flows allowed to account for a disproportionate share. They are not averaged mechanically.

The 2025 base year uses the latest complete twelve-month analytics period available for gross activity and complete 2025 macro comparators. The 2026 nowcast extends economic flow to US\$9.1 billion using available market and policy evidence. Because 2026 is incomplete at the data cut-off, the nowcast has lower confidence than the already-modelled 2025 base.

6. MARKET SIZE AND ECONOMICS

US\$3.4–14.5 billion is the defensible 2025 range

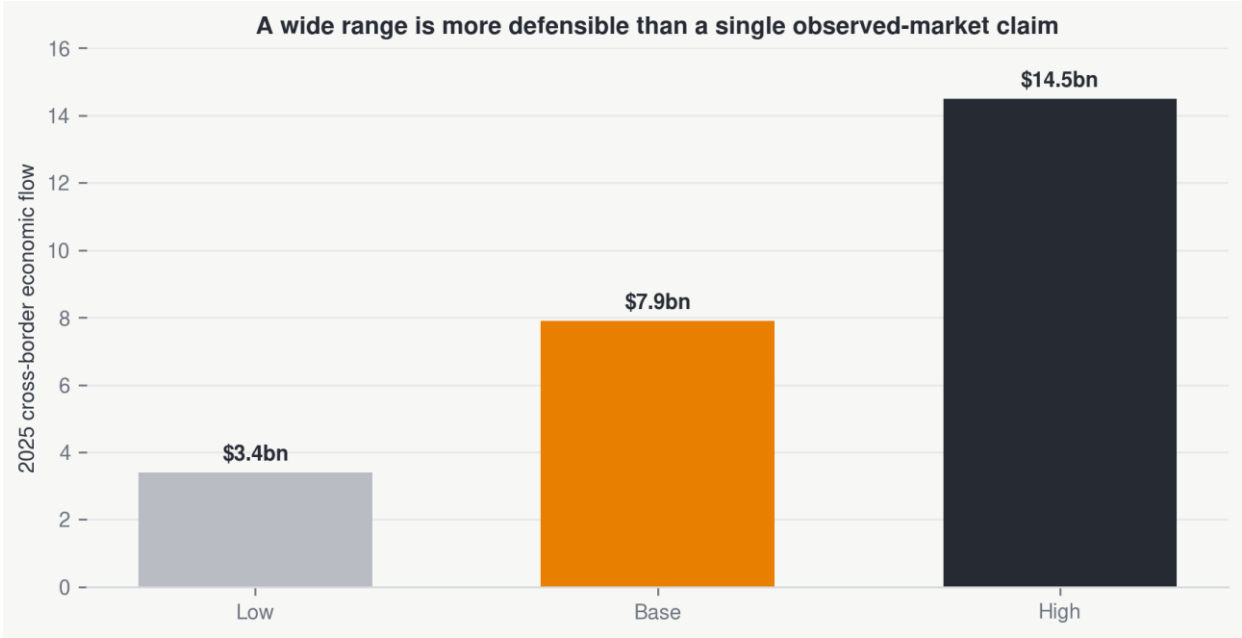


Exhibit 6-1. Low, base and high cross-border economic-flow cases

[Modelled] Renalytica. Compound cases are decision ranges, not confidence intervals.

Bridge	Low	Base	High	Status
All-crypto received value	US\$92.1bn	US\$92.1bn	US\$92.1bn	Reported
Stablecoin share	45%	60%	70%	Modelled
Gross stablecoin-associated flow	US\$41.4bn	US\$55.3bn	US\$64.5bn	Calculated
Economic-retention share	15%	22%	30%	Modelled
Economic stablecoin flow	US\$6.2bn	US\$12.2bn	US\$19.3bn	Calculated
Cross-border share	55%	65%	75%	Modelled
Cross-border economic flow	US\$3.4bn	US\$7.9bn	US\$14.5bn	Model output

CONFIDENCE: LOW

The order of magnitude is supported by multiple signals; the point estimate depends on unobserved churn removal and economic-purpose shares.

6. MARKET SIZE AND ECONOMICS

The base provider revenue pool is about US\$205 million

Revenue layer	Base pool	Share	Principal cost exposure
Exchange / OTC spread and execution	US\$88m	43%	Liquidity, bank access, fraud, market risk
Payment orchestration / transfer fees	US\$51m	25%	Compliance, support, partner payout
Treasury and liquidity services	US\$29m	14%	Capital, counterparty, FX and inventory
Custody / wallet / subscription	US\$16m	8%	Security, insurance, customer support
Compliance, data and screening	US\$12m	6%	Data, technology, legal liability
Other merchant / integration income	US\$9m	4%	Distribution and partner economics

The blended 2.6% take rate is not applied indiscriminately. Retail and P2P routes may carry higher spreads; enterprise settlement may carry lower explicit pricing but generate subscription, liquidity or treasury income. Some issuer reserve income exists globally but is excluded from the Nigerian pool unless demonstrably attributable to local activity and local production.

The low case combines US\$3.4 billion of flow with a 1.8% blended take rate, producing about US\$61 million. The high case combines US\$14.5 billion with 3.4%, producing about US\$493 million. The high revenue case should not be read as desirable: wide spreads can signal scarce liquidity and weak competition. Over time, revenue quality should shift from opaque conversion spread toward workflow, compliance and treasury services.

COMMERCIAL PROOF

A provider should report net revenue after liquidity cost and fraud loss, customer concentration, bank-partner concentration and contribution margin by corridor.

6. MARKET SIZE AND ECONOMICS

User savings and Nigerian value added remain modest beside flow

Quantity	Low	Base	High	Method
Provider revenue	US\$61m	US\$205m	US\$493m	Flow × blended take rate
Direct Nigerian value added	US\$25m	US\$84m	US\$222m	Revenue × local value-added share
User savings	US\$35m	US\$124m	US\$356m	Eligible flow × cost advantage
Naira equivalent of economic flow	₦5.1tn	₦11.9tn	₦21.8tn	At ₦1,500/US\$, presentation only

Base-case user savings of US\$124 million assumes that 70% of flow is eligible for comparison and that the stablecoin route improves cost by 2.25 percentage points. This is not provider revenue or GDP. Savings may accrue to the sender, recipient or business customer depending on pricing and FX quotation. Time improvement can be valuable even without a lower fee, but it is not monetised in the headline.

Direct Nigerian value added is estimated at US\$84 million, around 41% of provider revenue. The remainder reflects imported technology, foreign liquidity, offshore issuer economics and other intermediate inputs. A future national-accounts satellite estimate would need Nigerian cost structures, employment compensation, profits, taxes on production and imported service inputs. Transaction value alone should never be presented as GDP contribution.

RENALYTICA VIEW

The market's economic significance comes from improving trade and income flows, not from a large direct GDP footprint of providers.

6. MARKET SIZE AND ECONOMICS

Churn removal is the assumption to test first

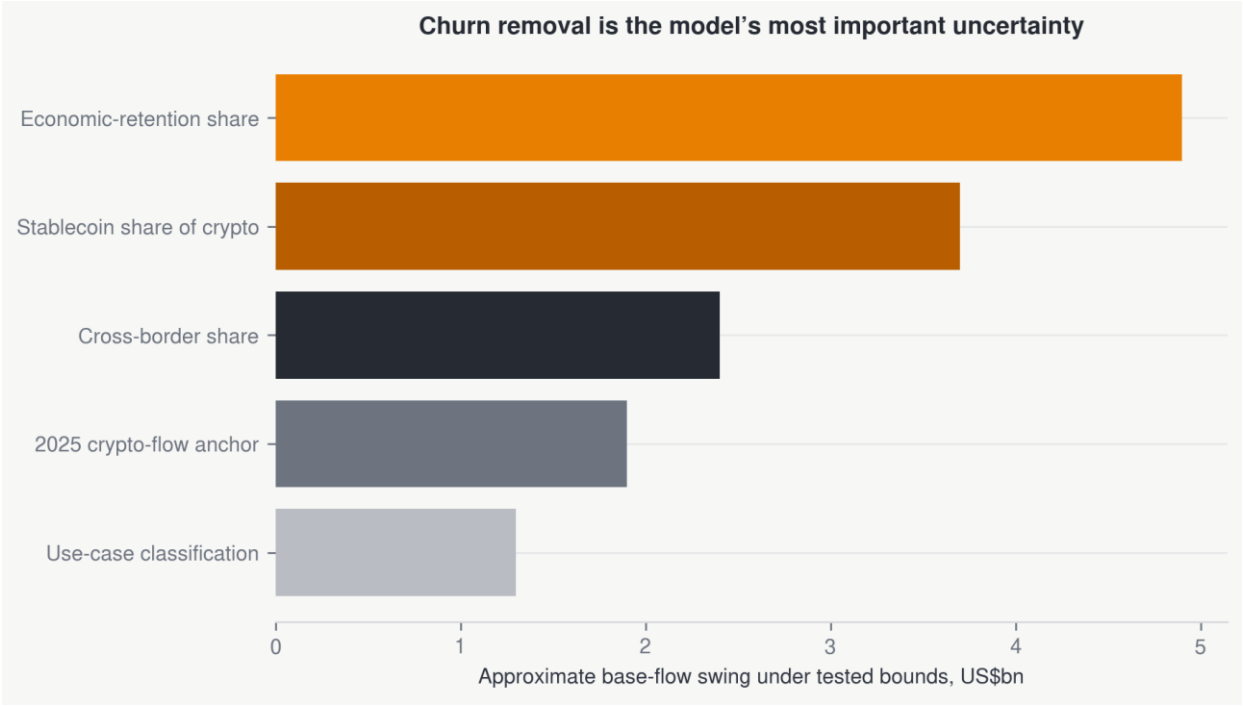


Exhibit 6-2. Sensitivity of the 2025 base flow
[Modelled] Approximate one-at-a-time change under tested assumption bounds. Interactions may be larger.

Assumption	Tested bound	Illustrative output	Evidence need
Stablecoin share	50–70%	US\$6.6–9.2bn	IMF 2024 cross-border share anchors the centre
Economic-retention share	15–30%	US\$5.4–10.8bn	Largest unobserved deduction
Cross-border share	55–75%	US\$6.7–9.1bn	Use-case classification required
Gross all-crypto anchor	±15%	US\$6.7–9.1bn	Analytics method and period
Provider take rate	1.8–3.4%	US\$142–269m at base flow	Business mix and competition

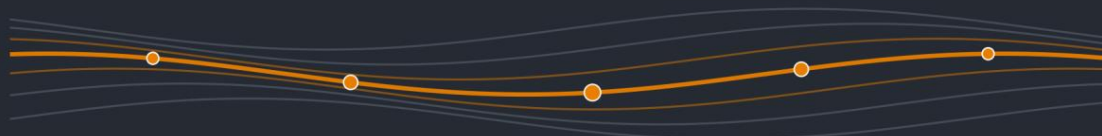
RED-TEAM CONCLUSION

The base case could be materially too high if most stablecoin activity is trading or repeated settlement; it could be too low if enterprise flows are routed through foreign platforms that analytics under-attribute to Nigeria.

PART II

The industry

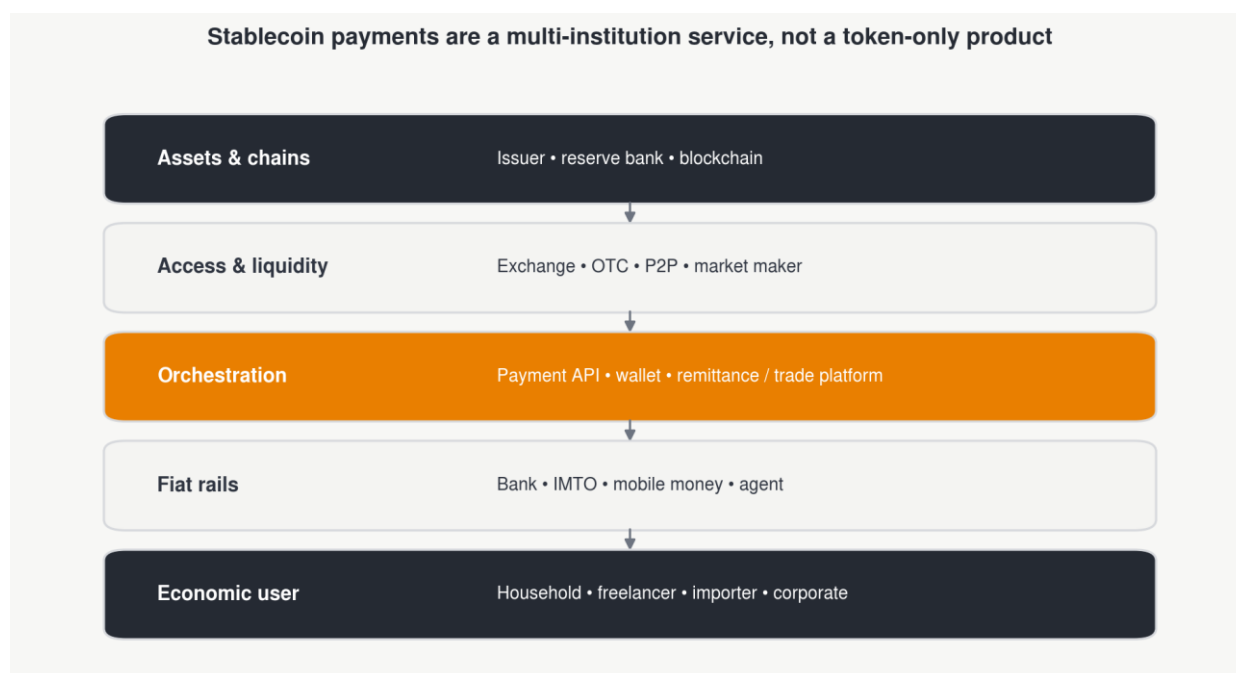
Competitive advantage lies in fiat access, liquidity, compliance, workflow and recovery—not simply in supporting a token.



RENALYTICA / POWERING SMART DECISIONS

7. ECOSYSTEM AND BUSINESS MODELS

A stablecoin payment is a coordinated stack

**Exhibit 7-1. Stablecoin-enabled value chain**

[Analyst assessment] Renalytica.

Assets and chains sit at the top of the technical stack, but the customer experiences the layers below: access, orchestration, fiat settlement and the final economic exchange. Issuers create the token and reserve claim; blockchains process transfers; exchanges and market makers provide liquidity; wallets and payment firms manage user journeys; banks, IMTOs, mobile-money operators and agents connect fiat; businesses and households create the underlying purpose.

Data and compliance cut across every layer. Identity may be collected by the exchange, payment firm and bank; transaction screening may occur on-chain and at fiat payout; Travel Rule data must follow qualifying transfers between covered institutions. Fragmentation raises both cost and responsibility risk. A customer may receive support from the interface provider even though the failure sits with an offshore exchange, chain, issuer or payout partner.

DESIGN PRINCIPLE

One accountable customer-facing provider should own end-to-end status and complaint handling, even when remediation requires several partners.

7. ECOSYSTEM AND BUSINESS MODELS

Revenue models hide different balance-sheet and compliance costs

Revenue models differ—and so do their hidden costs

Archetype	Primary income	Cost exposure	Defensibility
Issuer	Reserve income	Liquidity, compliance, redemption	Scale + distribution
Exchange / OTC	Spread + fees	Fraud, bank access, liquidity	Local liquidity
Payments API	Take rate + subscription	Compliance, support, reconciliation	Workflow integration
Treasury / liquidity	Spread + financing	Capital, FX, counterparty	Balance-sheet access
Compliance / custody	SaaS + service fees	Technology, legal liability	Data + licences

Exhibit 7-2. Business-model economics

[Analyst assessment] Renalytica.

Issuer economics are driven by reserves and distribution; exchange economics by spread, fees and liquidity; payment orchestration by take rate, subscription and workflow; treasury providers by liquidity and financing; compliance and custody by software and service fees. These revenues should not be blended without matching the underlying cost base. A high exchange spread may fund liquidity and fraud losses, while a low enterprise take rate may be profitable because transaction size and retention are high.

Capital intensity is rising. Nigeria's SEC revised minimum capital in January 2026 to ₦2 billion for digital-asset exchanges and custodians, ₦1 billion for digital-asset offering platforms, ₦500 million for certain digital-asset intermediaries and ₦300 million for ancillary VASPs. These requirements can improve resilience but may favour larger firms, increase consolidation and push activity toward offshore or informal providers if the licensing path is slow or uncertain.

UNIT-ECONOMICS RULE

Quote contribution margin after liquidity, bank fees, blockchain costs, fraud, chargebacks, compliance review, customer support and expected loss—not gross spread.

7. ECOSYSTEM AND BUSINESS MODELS

Stablecoin rails compete and collaborate with conventional payments

Use case	Closest alternative	Stablecoin edge	Alternative edge / gap
Retail remittance	Digital IMTO	Stablecoin may lower cost / expand hours	Consumer redress and cash-out
Freelance payout	Bank transfer / platform payout	Smaller tickets and faster receipt	Invoice, tax and bank acceptance
B2B supplier settlement	Correspondent banking / trade finance	Settlement speed and dollar access	Documentation, sanctions, legal finality
Intra-African payment	PAPSS / regional fintech	Global token liquidity	Dollar intermediation and two FX legs
Treasury	Bank deposit / FX account	24/7 transfer and programmability	Issuer, custody and policy risk
Merchant checkout	Cards / transfers	Global access and finality	Refund, consumer law and volatility at conversion

Competition is corridor-specific. A stablecoin route may outperform a bank wire for a small urgent invoice but underperform a digital IMTO for a consumer who wants guaranteed naira receipt and familiar complaint channels. PAPSS may be structurally preferable for intra-African local-currency settlement where it has reach and liquidity. Cards remain strong for merchant acceptance because they bundle authorisation and dispute rights, even though chargebacks impose cost.

Banks need not treat stablecoins only as a threat. They can provide safeguarded accounts, fiat settlement, compliance services, custody or tokenised-deposit alternatives. The strategic risk is disintermediation of deposits and FX data; the opportunity is to own the regulated edge while partners manage blockchain infrastructure.

7. ECOSYSTEM AND BUSINESS MODELS

Enterprise workflows offer the best quality of revenue

Model	Indicative pricing	Retention	Major cost / risk	Proof metric
Retail on/off-ramp	1.5–5.0% gross spread/fee	Low–medium	Fraud, support, bank interruptions	Monthly active funded users
B2B settlement API	0.3–1.5% + subscription	Medium–high	Compliance, liquidity, partner SLA	Recurring enterprise cohorts
OTC / liquidity	0.2–2.0% spread	Medium	Capital, price and counterparty	Volume and quote win rate
Treasury orchestration	Subscription + execution	High where embedded	Governance and balance-sheet risk	Retained accounts / wallet share
Compliance / analytics	SaaS + usage	High	Data quality and legal liability	False positives and investigation time
Custody	Basis points + minimum fee	High for institutions	Security and insurance	Assets / clients under custody

Indicative pricing ranges are analyst assumptions, not market quotes. Enterprise models can produce lower headline take rates but better retention because they become part of invoice, treasury, reconciliation and compliance workflows. Retail models can grow faster but face higher fraud, support and acquisition costs. OTC revenue can be attractive during liquidity fragmentation yet compress as regulated markets deepen.

The defensible asset is a trusted operating system around economic purpose: verified counterparties, predictable conversion, transaction monitoring, audit-ready records, exception resolution and bank connectivity. Token support is necessary but insufficient. Providers should design for multiple eligible assets and chains while maintaining a strict risk appetite rather than tying the business to one issuer.

8. CASE PROFILES

USDT and USDC define two forms of issuer trust

Tether / USDT

GLOBAL RESERVE-BACKED ISSUER

USDT addresses the liquidity and acceptance problem: it is the largest stablecoin and is widely quoted on emerging-market exchanges and OTC markets.

A Nigerian user normally acquires USDT through an exchange, broker or payment provider, transfers it on a supported chain and either delivers it to a counterparty or sells it for local fiat. Tether rarely owns the full Nigerian customer journey; local intermediaries determine KYC, spreads, cash-out and redress.

Case component	Assessment
Public evidence	Tether reported about US\$184.6bn of USDT outstanding at 30 June 2026 and a US\$4.11bn reserve buffer. In August 2026 it announced an unqualified KPMG US opinion on its 2025 financial statements.
Regulatory position	The issuer is foreign. Nigeria-facing intermediaries require their own applicable approvals; issuer scale does not confer Nigerian permission on a distributor.
Strategic lesson	Liquidity is a strategic asset, but product governance must treat issuer, chain and sanctions concentration as explicit exposures.
Evidence caution	Issuer-reported unless linked to audited financial statements. Global metrics are not Nigeria volumes.

Circle / USDC

GLOBAL RESERVE-BACKED ISSUER

USDC addresses institutional demand for a dollar token with frequent reserve disclosure, regulated distribution partners and programmable settlement.

The transaction journey resembles USDT, but institutions may select USDC based on reserve transparency, supported chains, compliance posture and counterparty acceptance. In Nigeria, liquidity and off-ramp pricing can outweigh global disclosure differences for the end user.

Case component	Assessment
Public evidence	Circle reported US\$73.3bn USDC in circulation at Q2 2026, US\$14.8tn of quarterly on-chain transaction volume and weekly reserve holdings with monthly assurance.
Regulatory position	USDC's foreign regulatory status does not replace Nigeria-specific licensing for exchange, custody, payment or remittance activity.
Strategic lesson	Institutional trust can improve adoption, but local liquidity and fiat settlement remain decisive.
Evidence caution	Company-reported. On-chain volume includes activity unrelated to Nigerian economic payments.

8. CASE PROFILES

Yellow Card and Juicyway focus on the fiat–stablecoin interface

Yellow Card

PAN-AFRICAN B2B STABLECOIN INFRASTRUCTURE

Yellow Card addresses fragmented local-currency access, settlement and liquidity for financial institutions and enterprises across emerging markets.

A business or fintech uses APIs and treasury services to convert local currency, move or manage stablecoins and complete payout through local partners. The model’s value lies in banking, liquidity, licensing and operational coverage rather than in a proprietary token.

Case component	Assessment
Public evidence	The company’s website reported more than US\$10bn processed, 60+ supported countries, 50+ payment currencies and 106+ banking and liquidity partners as of the data cut-off. Visa announced a partnership to explore stablecoin use cases.
Regulatory position	Licensing is jurisdiction-specific. The public headline metrics do not establish Nigeria-only volume or final licence status for every service.
Strategic lesson	Regional infrastructure can reduce corridor build cost for banks and fintechs, but counterpart and partner concentration must be visible.
Evidence caution	Company-reported global metrics; not independently audited in the sources reviewed.

Juicyway

NIGERIA-ORIGIN CROSS-BORDER PAYMENTS FINTECH

Juicyway targets African businesses and individuals that need multi-currency accounts, FX and cross-border settlement.

Customer funds can enter through bank rails, be managed across fiat and stablecoin infrastructure behind the interface, then paid out to another currency. The user may never need to manage a wallet directly, which can reduce operational error while concentrating reliance on the provider.

Case component	Assessment
Public evidence	At its December 2024 public launch, company-supplied figures reported through TechCrunch and other outlets exceeded US\$1bn of historical transaction value and about 4,000 users; the company announced a US\$3m pre-seed round.
Regulatory position	Public evidence reviewed did not provide a Nigeria-specific stablecoin licence, audited volume or current corridor breakdown. Applicable payment, FX and VASP permissions depend on activity and partners.
Strategic lesson	Stablecoin infrastructure can be productively abstracted, but economic-purpose and licence transparency must match the simplicity of the customer interface.
Evidence caution	Historical company-reported metrics via reputable media; current scale is not independently verified.

8. CASE PROFILES

Bitnob and Busha illustrate product breadth versus regulatory proof

Bitnob

RETAIL AND BUSINESS CROSS-BORDER WALLET

Bitnob seeks to make cross-border movement, holding and conversion of naira, bitcoin and stablecoins available through a consumer-facing account.

A customer funds locally, holds or converts digital assets and sends across supported routes, with bank or mobile-money payout where available. Earlier product strategy also used the Bitcoin Lightning Network; current public pages position stablecoins as part of broader payment infrastructure.

Case component	Assessment
Public evidence	Bitnob's Nigeria page describes local transfer, stablecoin holding and cross-border capability. No Nigeria-specific active-user, stablecoin-volume, completion-time or loss dataset was publicly available in the sources reviewed.
Regulatory position	The exact Nigerian permission chain for each product should be verified with the provider and regulators; product availability is not proof of a particular licence.
Strategic lesson	A strong user experience requires published payout coverage, fee and recovery data; product claims alone do not demonstrate lower cost.
Evidence caution	Product facts are company-reported. Quantitative performance is unavailable.

Busha

NIGERIA-FACING DIGITAL-ASSET EXCHANGE

Busha provides regulated-access infrastructure for buying, selling and holding digital assets, including stablecoins, within Nigeria's emerging SEC perimeter.

Users complete KYC, fund through local rails, exchange naira and digital assets, hold in hosted custody or transfer externally. Business uses may extend beyond retail trading, but public use-case classification is limited.

Case component	Assessment
Public evidence	SEC Nigeria lists Busha Digital Limited among registered FinTech operators admitted through the Accelerated Regulatory Incubation Program as a digital-asset exchange.
Regulatory position	ARIP admission is conditional and should not be described as an unrestricted final licence for every payment, remittance, FX or custody activity.
Strategic lesson	Regulator-listed status can improve bank and customer trust, but economic-flow reporting is needed to distinguish trading from payment use.
Evidence caution	Regulatory status is official; product and market metrics were not independently available.

8. CASE PROFILES

Quidax and cNGN show that permission and adoption are separate

Quidax

DIGITAL-ASSET EXCHANGE AND STABLECOIN API

Quidax combines retail exchange access with ramps, OTC, merchant tools and APIs for businesses seeking stablecoin functionality.

A fintech can integrate local and international fiat on/off-ramps and stablecoin liquidity through an API; a retail customer can trade and withdraw. This creates useful infrastructure but also layers platform, bank, liquidity and issuer risk.

Case component	Assessment
Public evidence	SEC Nigeria lists Quidax Technologies Limited in ARIP as a digital-asset exchange. Quidax's public materials describe support for USDT, USDC, cNGN and multiple local currencies and state that its infrastructure serves more than 5,000 startups and enterprises.
Regulatory position	ARIP status is conditional. Company marketing should not be read as regulator confirmation of every product or reported client metric.
Strategic lesson	APIs can distribute compliant access more efficiently than standalone wallets if downstream customer responsibility and complaints are clearly allocated.
Evidence caution	Regulatory listing is official; operating metrics are company-reported.

cNGN

NAIRA-REFERENCED STABLECOIN IN REGULATORY INCUBATION

cNGN tests whether a privately operated tokenised-naira claim can support digital settlement without dollar exposure.

Users acquire a token intended to be backed 1:1 by naira reserves, transfer it on supported chains and redeem through participating institutions. Its value proposition depends on integration, acceptance and trust—not merely reserve parity.

Case component	Assessment
Public evidence	The SEC lists Wrapped CBDC Ltd / cNGN in regulatory incubation. IMF Annex VII reported only 66m cNGN, around 20 wallets and 74 on-chain transactions as of early 2025.
Regulatory position	Regulatory incubation is not final approval. Reserve, redemption, safeguarding and payment treatment require continuing verification.
Strategic lesson	A domestic-unit stablecoin does not automatically create network effects. Distribution and use-case fit matter more than technical issuance.
Evidence caution	IMF data are historical; issuer transparency-page values were not relied upon where public display appeared inconsistent.

8. CASE PROFILES

MANSA and PAPSS attack prefunding from different directions

MANSA

STABLECOIN LIQUIDITY INFRASTRUCTURE

MANSA provides liquidity intended to reduce prefunding burdens for cross-border payment companies in emerging markets.

A licensed payment operator draws stablecoin-linked settlement liquidity to complete payouts, then repays or settles according to facility terms. The economic customer may interact only with the payment provider, while MANSA sits behind the service.

Case component	Assessment
Public evidence	MANSA's website reported more than US\$598m of stablecoin volume, US\$306m of payments disbursed, US\$10m of China payouts and 40+ active corridors as of the data cut-off.
Regulatory position	Metrics are global and company-reported. Each operating partner remains responsible for local licensing, customer due diligence and payout compliance.
Strategic lesson	Liquidity can remove idle prefunding and improve payout speed, but credit, counterparty and concentration risk replace part of the operational friction.
Evidence caution	Company-reported; not Nigeria-specific or independently audited in reviewed sources.

PAPSS

LOCAL-CURRENCY INSTITUTIONAL COMPARATOR

PAPSS aims to make African cross-border payments occur in local currencies through participating central banks, banks and payment providers.

A customer pays in local currency through a participant; PAPSS supports instant payment and coordinated settlement. The design can reduce dependence on an intermediate hard currency for eligible regional corridors.

Case component	Assessment
Public evidence	PAPSS states that it operates in 18 countries across four African regions, uses ISO 20022, provides 24/7 service and offers Nigeria retail and SME transaction routes subject to limits and documentation.
Regulatory position	PAPSS operates as financial-market infrastructure, not a stablecoin issuer. Participant and corridor availability determines access.
Strategic lesson	Nigeria should compare stablecoin routes with institutional local-currency rails and explore interoperability only where it improves cost and visibility.
Evidence caution	Official infrastructure descriptions; no claim is made about market share or Nigeria transaction volume.

8. CASE PROFILES

The cases reveal four strategic patterns

Ten cases test different layers of the market

Case	Role	Public evidence	Nigeria relevance
Tether / USDT	Issuer	Audited 2025 FS; Q2 2026 disclosure	High liquidity
Circle / USDC	Issuer	Weekly reserves; Q2 results	Compliance-led option
Yellow Card	B2B rails	\$10bn+ processed, company-reported	On/off-ramp infrastructure
Juicyway	Cross-border fintech	>\$1bn historical TPV, media/company	Business FX / settlement
Bitnob	Wallet / payments	Product availability; no public volume	Retail + business
Busha	Exchange	SEC ARIP listing	Regulated access
Quidax	Exchange / API	SEC ARIP; product disclosures	Retail + API
cNGN	Naira stablecoin	SEC incubation; IMF adoption data	Local-unit test
MANSA	Liquidity	\$598m stablecoin volume, company	Prefunding alternative
PAPSS	Comparator rail	Official multi-country infrastructure	Local-currency alternative

Exhibit 8-1. Case-study synthesis

[Reported / Analyst assessment] Company, regulator and official infrastructure sources. Metrics use different periods and definitions and should not be ranked as market share.

Pattern	Case evidence	Strategic requirement
Liquidity concentration	USDT and USDC dominate global supply and counterpart acceptance	Multi-asset risk policies; issuer and chain limits
Fiat-edge advantage	Yellow Card, Juicyway, Bitnob, Busha and Quidax compete on local access and workflow	Bank partnerships, licensing, support and price transparency
Prefunding as a bottleneck	MANSA and enterprise providers sell liquidity, not simply transfers	Capital, credit and counterparty controls
Local-unit alternatives	cNGN and PAPSS show non-dollar paths	Network reach, redemption, local-currency liquidity and governance

No case provides a complete Nigeria market dataset. Public company figures vary between processed volume, on-chain volume, payments disbursed, user registrations and assets in circulation. The report therefore uses them to test business-model hypotheses, not to infer market share. A future primary-research edition should require standard definitions, Nigeria-only period data and reconciliation to financial statements where possible.

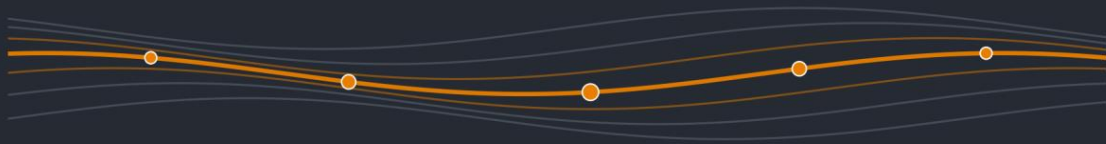
REPLICABLE LESSON

The most transferable capability is an accountable, compliant and liquid fiat–digital–fiat journey. The least transferable metric is a global headline transaction volume without corridor and purpose detail.

PART III

The rules

Nigeria's direction has shifted toward supervised participation, but stablecoin issuance, payments, FX and consumer protection do not yet form one complete regime.



RENALYTICA / POWERING SMART DECISIONS

9. REGULATORY LANDSCAPE

Policy has moved from restriction toward coordination



Exhibit 9-1. Nigeria digital-asset policy timeline

[Reported] CBN, SEC Nigeria, Presidency and official legislative sources. The 2026 SEC rules are proposed; the Virtual Assets Bill remained a bill as of the cut-off.

The CBN’s February 2021 restriction on banks facilitating cryptocurrency activity pushed much activity toward P2P markets rather than eliminating it. In May 2022, SEC Nigeria issued digital-asset rules. In December 2023, the CBN issued guidelines for bank accounts serving VASPs, reopening a supervised banking channel. SEC’s 2024 Accelerated Regulatory Incubation Program admitted selected operators under conditional supervision.

The Investments and Securities Act 2025 strengthened SEC’s statutory footing for virtual and digital assets. In July 2026, a Presidential Executive Order established a coordinating council to harmonise regulation, with a tax policy and broader white paper in development. On 20 August 2026, SEC published proposed rules for digital and virtual assets covering issuance, trading, custody, transfer and other services, including activities targeting Nigerian residents. The consultation is not binding final law.

LEGAL STATUS RULE

Never describe a proposal, incubation admission or enforcement posture as a final licence or comprehensive stablecoin payment law.

9. REGULATORY LANDSCAPE

The activity determines the authority

The key gap is coordination across activity-specific perimeters

Activity	Lead authority	Current status	Core unresolved issue
Issue / offer stablecoin	SEC; CBN where payment/FX	Incubation / proposed rules	Reserve, redemption, legal claim
Exchange / custody	SEC; NFIU	ARIP / VASP framework	Conditional versus final licence
Bank accounts	CBN	Guideline in force	Permitted services and risk appetite
Cross-border payment / IMTO	CBN	Licensed perimeter	Stablecoin settlement role
AML/CFT / sanctions	NFIU + supervisors	General obligations	Travel Rule, unhosted wallets
Tax	NRS	General law; policy pending	Character and reporting
Data / redress	NDPC; FCCPC	General law	Irreversible-payment remedies

Exhibit 9-2. Activity-to-authority perimeter

[Reported / Analyst assessment] SEC, CBN, NFIU, NDPC, FCCPC and Presidency sources as of 25 August 2026.

SEC leads the securities and digital-asset market perimeter, including exchanges, custody and digital-asset offerings. CBN controls banks, payment systems, IMTOs and foreign-exchange rules. NFIU receives and analyses financial intelligence and sets reporting expectations with supervisors. NRS administers tax. NDPC governs personal-data processing. FCCPC provides the general consumer-protection framework. The same product can trigger several authorities because a stablecoin route may combine asset exchange, payment processing, FX conversion, custody and data processing.

The unresolved problem is not simply overlap; it is the absence of a public, transaction-level interpretation that tells a provider which permission is required at each stage. A VASP approval should not be assumed to authorise remittance or dealer activity. Conversely, a bank-account relationship should not be mistaken for permission to market an unapproved token. The coordinating council should publish a live responsibility matrix and a binding escalation process for novel products.

NO-REGRET ACTION

Publish a joint perimeter note with worked examples for remittance, B2B supplier payment, merchant checkout, treasury, custody and local-currency stablecoin issuance.

9. REGULATORY LANDSCAPE

Licensing and AML/CFT must follow the entire journey

Control	Required outcome	Stablecoin-specific challenge
Customer due diligence	Identify customer, beneficial owner and risk profile	Layered onboarding and identity mismatch
Purpose and source of funds	Understand expected economic activity	Token transfers often arrive without invoice context
Transaction monitoring	Combine fiat and blockchain signals	Fragmented data and false positives
Travel Rule	Transmit required originator and beneficiary information	Counterparty VASP coverage and unhosted wallets
Sanctions	Screen names, entities, wallets and exposure	Indirect and post-transfer exposure
Suspicious transaction reporting	Detect, investigate and report to NFIU	Timeliness and consistent typologies
Record retention	Preserve customer, transfer and purpose evidence	Multiple chains and foreign partners

FATF's 2026 targeted update reported broader Travel Rule legislation globally but continuing operational gaps. Stablecoins account for a growing share of illicit on-chain activity because they are liquid and transferable. That does not make ordinary use illicit; it raises the standard for supervision, cross-border information exchange and risk-based treatment of unhosted wallets.

Nigeria's removal from the FATF grey list in October 2025 improved the country's external compliance position. Stablecoin policy should protect that gain. A supervised pilot must test data transmission, counterparty VASP due diligence, wallet screening, suspicious-report quality and information sharing—not only transaction speed.

9. REGULATORY LANDSCAPE

FX and cross-border payment rules are the pivotal unresolved layer

Question	Decision test	Accountable party
Fiat funding	Is naira converted through an authorised and reportable channel?	Funding bank / payment provider / dealer
Underlying purpose	Is the payment trade, service, remittance, treasury or portfolio?	Customer and orchestrator
Documentation	What invoice, import, payroll or remittance evidence is required?	Provider and authorised dealer
Rate and spread	How is the customer FX rate disclosed and recorded?	Quoting provider
Cross-border reporting	Where are payer, payee, amount and corridor reported?	Licensed entity / bank
Repatriation / receipt	How is export income or inward remittance evidenced?	Bank / IMTO / provider
Netting / treasury	When does operational netting become dealer or capital-flow activity?	CBN interpretation required

CBN revised IMTO guidelines and 2026 settlement-account requirements strengthen the conventional remittance perimeter. Stablecoin settlement is not automatically an IMTO service, but a provider accepting value abroad and paying naira in Nigeria may perform economically similar functions. Regulation should apply based on function and risk, while avoiding duplicative licences where one supervised entity coordinates the whole service.

POLICY OBJECTIVE

Bring naira–stablecoin conversion and cross-border economic-purpose data into regulated reporting without forcing legitimate users into opaque offshore or P2P channels.

9. REGULATORY LANDSCAPE

Consumer, data and tax rules need stablecoin-specific implementation

Area	Implementation standard	Owner
Consumer disclosure	Quote amount received, total cost, issuer, chain, irreversibility and key risks	FCCPC + sector regulators
Complaints and recovery	One entry point; time-bound escalation; publish recovery rate	Provider + FCCPC / ombuds mechanism
Reserve / redemption	Legal claim, eligible assets, custody, frequency of assurance, redemption time	SEC / CBN perimeter
Data protection	Lawful basis, minimisation, cross-border transfer, security and retention	NDPC + controllers/processors
Automated monitoring	Explain material decisions and manage false positives	Provider + NDPC / supervisor
Tax records	Characterise gains, business receipts, fees and cross-border purpose	NRS + taxpayer

General consumer law applies, but irreversible payments and layered providers need clearer allocation of loss. The user should not be sent between an exchange, wallet, liquidity provider and bank to discover who owns a complaint. Firms should retain transaction identifiers across partners, publish resolution times and distinguish recoverable service errors from unrecoverable self-custody mistakes.

Nigeria's Data Protection Act 2023 and 2025 General Application and Implementation Directive govern identity, wallet, device and transaction data. Blockchain records can be permanent, while personal-data rules require purpose limitation and accountability. Providers should avoid placing unnecessary personal information on-chain and use off-chain reference systems with controlled access. Tax treatment depends on the legal and economic character of each transaction; the Presidency stated that a virtual-assets tax policy was forthcoming, so this report does not invent a settled sector rule.

9. REGULATORY LANDSCAPE

International regimes converge on reserves, redemption and accountability

Comparator regimes: reserves, redemption and accountability

Jurisdiction	Dedicated regime	Reserve / redemption	Transferable lesson
United States	GENIUS Act, 2025	1:1 eligible liquid reserves; disclosures	Federal/state issuer perimeter
European Union	MiCA in force	Prudential, reserve and redemption rules	Token taxonomy + CASP regime
Hong Kong	Ordinance since Aug 2025	Licensed fiat-referenced issuers	Marketing and distribution perimeter
Singapore	MAS framework; legislation prepared	High-quality liquid assets; par redemption	Label-based trust standard
South Africa	CASP licensing at scale	No dedicated stablecoin issuer law	Supervise intermediaries first
Nigeria	Fragmented / evolving	Not yet complete	Coordinate issuer, payments and FX rules

Exhibit 9-3. Selected comparator regimes

[Reported / Analyst assessment] White House; European Commission; HKMA; MAS; FSCA/SARB; Nigerian authorities. Status at 25 August 2026.

The United States enacted the GENIUS Act in July 2025, establishing a federal framework for payment stablecoins with one-to-one eligible liquid reserves and monthly reserve disclosure. EU MiCA has applied to stablecoins since June 2024 and fully since December 2024, distinguishing e-money tokens from asset-referenced tokens and setting issuer, reserve, governance and redemption requirements. Hong Kong's Stablecoins Ordinance took effect in August 2025 and requires a licence for fiat-referenced stablecoin issuance and controlled marketing.

Singapore finalised a single-currency stablecoin framework centred on reserve quality, capital, redemption and disclosure, though implementation legislation was still being prepared in public statements reviewed. South Africa has licensed crypto-asset service providers at scale under its financial-advice/intermediary perimeter while continuing to develop cross-border treatment. Nigeria can borrow principles, not copy statutes: a foreign-currency, import-dependent economy needs stronger coordination with FX and capital-flow reporting than a reserve-currency issuer.

9. REGULATORY LANDSCAPE

Nigeria's policy gap can be closed without a blanket ban or blank cheque

Gap	Current condition	Required response	Target
Issuer eligibility	No complete dedicated final regime	Define issuer types, local offering and foreign-token eligibility	12 months
Reserves / redemption	Fragmented disclosure	Eligible assets, segregation, assurance, par redemption and insolvency claim	12 months
Payment / remittance function	Activity overlap	Functional licensing and lead-supervisor rule	6–12 months
FX / capital-flow reporting	Economic purpose often opaque	Corridor and purpose codes tied to fiat conversion	6 months
Travel Rule / unhosted wallets	Implementation uneven	Technical standard and risk-based counterparty policy	12 months
Consumer redress	General framework only	Single complaint owner, disclosure and recovery metrics	6 months
Data / statistics	No national taxonomy	Privacy-safe quarterly observatory	12–18 months

Over-regulation risk is real. High capital thresholds, duplicative licences or vague liability can concentrate the market, exclude Nigerian startups and push users to offshore or informal venues. Regulatory-arbitrage risk is equally real: a firm may label a remittance product as 'technology' or 'digital asset' to avoid payment, FX or consumer obligations. Functional equivalence should determine obligations, with proportional requirements by customer, value, custody and systemic importance.

BALANCED DESIGN

Permit supervised utility; require reserve and redemption evidence; keep naira conversion visible; protect customers; and impose stronger controls as custody, ticket size, cross-border reach and systemic importance rise.

10. RISK, INCLUSION AND MACRO IMPACT

Risk is concentrated at conversion, identity and governance points

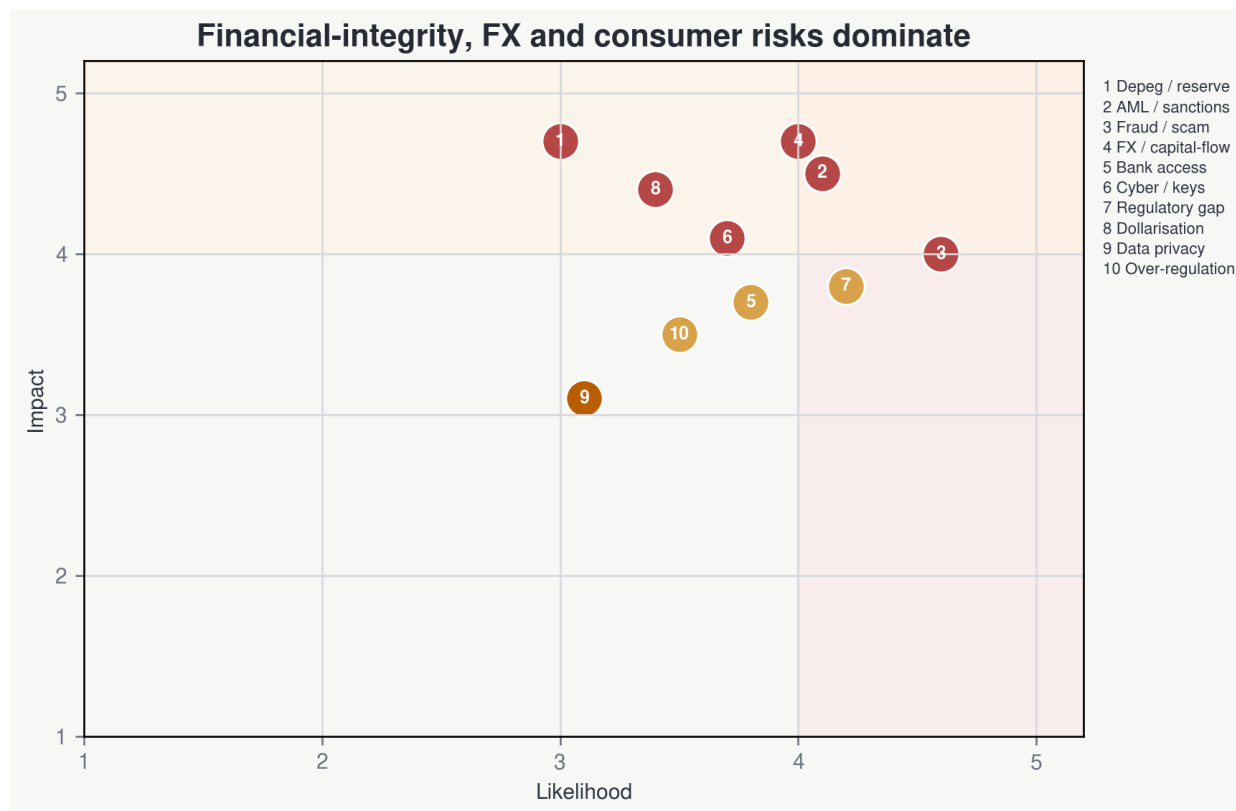


Exhibit 10-1. Stablecoin risk heat map

[Analyst assessment] Likelihood and impact scored 1–5 for Nigeria over the next 24 months. Numbers identify risks in the legend; residual risk depends on controls.

Risk	Primary bearer	Priority	Core mitigant
AML / sanctions	Providers, banks, state	High	Travel Rule, screening, STRs, cross-border cooperation
FX / capital-flow opacity	CBN, macroeconomy	High	Purpose-coded conversion and aggregated monitoring
Fraud / scam / mule accounts	Users, banks, platforms	High	Beneficiary checks, behavioural monitoring, recovery protocol
Issuer / depeg	Users, providers	High impact	Asset eligibility, reserve review, exposure limits, exit plan
Cyber / key loss	Users, custodians	High impact	Security, segregation, insurance, recovery design

10. RISK, INCLUSION AND MACRO IMPACT

Loss moves through the stack faster than responsibility

Event	Cause	Customer effect	Mitigant	Owner
Wrong address / chain	User error	Irreversible token loss	Address book, chain lock, confirmation delay	Customer / interface
Account takeover	Credential or device compromise	Wallet and fiat loss	MFA, device intelligence, withdrawal cooling	Provider + customer
Counterparty fraud	Fake merchant, agent or supplier	Economic loss despite valid transfer	Verified beneficiary, invoice checks, escrow	Provider + customer
Liquidity failure	Thin market or partner outage	Wide spread / failed payout	Multiple venues, limits, prefunding and SLA	Liquidity provider
Issuer restriction / depeg	Reserve or policy shock	Value / access loss	Diversification, monitoring and exit drills	Issuer + provider
Compliance freeze	Screening hit or missing data	Delayed or stranded funds	Pre-screening, clear evidence and appeal	Provider / bank

Irreversibility changes the economics of consumer protection. Conventional card systems price chargeback and dispute rights into merchant fees; stablecoin transfers often remove that mechanism. That can reduce fraud against merchants but increase loss for consumers. A regulated provider should offer risk-tiered beneficiary verification, cooling periods for unusual first payments and clear refund protocols for merchant transactions without pretending that the underlying blockchain can always be reversed.

Providers should publish operational risk data. At minimum: attempted and completed transactions, value, failed and delayed rates, confirmed fraud losses, customer-reported losses, recovered value, average complaint resolution, security incidents and service outages. Without denominators, anecdotes will dominate policy.

10. RISK, INCLUSION AND MACRO IMPACT

Inclusion gains can reverse when the user cannot absorb a mistake

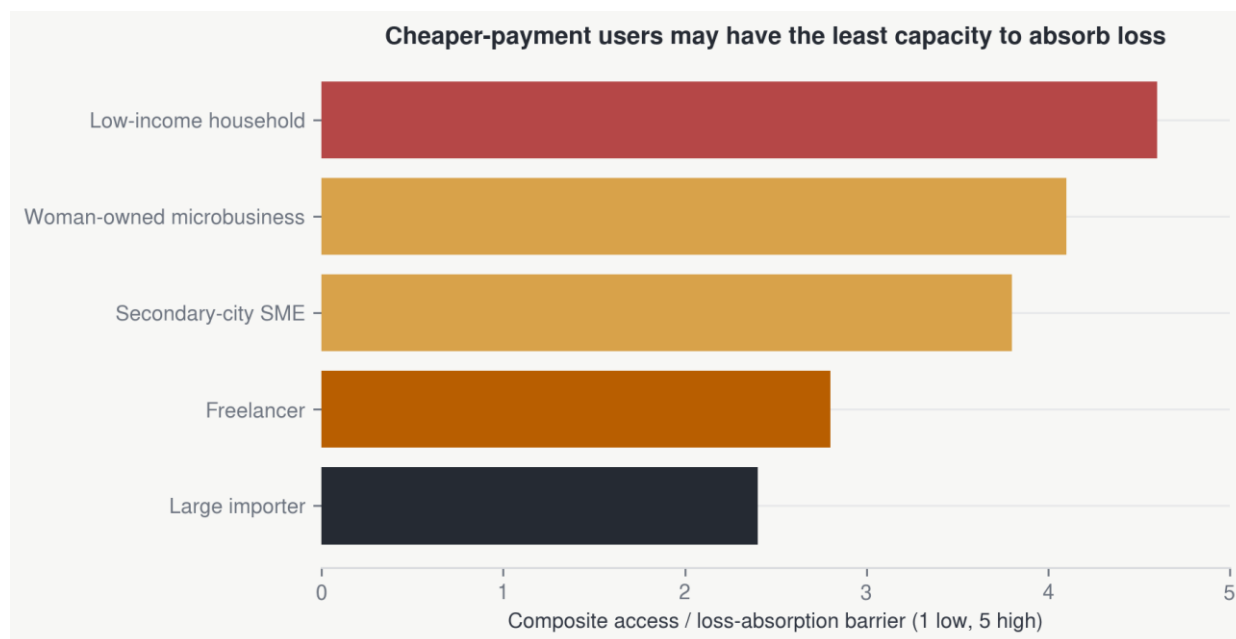


Exhibit 10-2. Relative access and loss-absorption barriers

[Analyst assessment] Composite of device, identity, literacy, liquidity, support and loss-absorption constraints; not survey data.

Stablecoins can expand access for users without convenient foreign accounts, reduce minimum transaction sizes and allow income receipt outside banking hours. These benefits are meaningful for freelancers, small firms and diaspora households. Yet access is not the same as safe capability. Low-income users and women-owned microbusinesses may have weaker device security, less working capital, lower tolerance for failed transfers and less bargaining power with agents.

Barrier	How exclusion appears	Product / policy response
Identity	Name mismatch and documentation	Tiered KYC with clear limits; assisted correction
Device / connectivity	Shared phones, SIM change, unreliable data	Device binding, safe recovery, low-data design
Liquidity	Wide local spreads and cash-out scarcity	Quote guarantee and agent oversight
Literacy	Wrong chain, confusing asset labels	Plain-language risk and protected address flows
Trust / redress	No clear complaint owner	One-stop complaints and published recovery
Gender and business form	Lower access to formal finance and records	Women-led merchant partnerships and business statements

10. RISK, INCLUSION AND MACRO IMPACT

The macro balance depends on substitution and visibility

Channel	Mechanism	Possible effect	Leading indicator
Payment efficiency	Faster, smaller and 24/7 transfers	Could support trade and service exports	Completion and cost by corridor
Dollarisation	Foreign token used for saving and pricing	May reduce naira demand and transmission	Stablecoin balances / conversion share
Bank funding	Deposits migrate to wallets or exchanges	Could raise bank funding cost	Deposit substitution by customer segment
FX management	Demand moves through private token markets	Can reduce official visibility	Purpose-coded naira conversions
Capital flows	Faster cross-border transfer	Harder monitoring; possible evasion	Net flows and counterparty geography
External vulnerability	Dependence on foreign issuers / reserves	Exposure to foreign policy and runs	Issuer concentration and redemption stress
Seigniorage / reserve income	Private foreign issuers earn reserve returns	Benefits accrue mostly offshore	Local versus foreign value added

Digital dollarisation is a continuum, not a switch. A stablecoin used for a two-hour supplier settlement has a different monetary effect from a stablecoin held for months as household savings or used to price local goods. Monitoring should separate transaction balances, working liquidity and store-of-value holdings. Policy should respond proportionately: improve naira services and regulated settlement rather than treat all token use as permanent currency substitution.

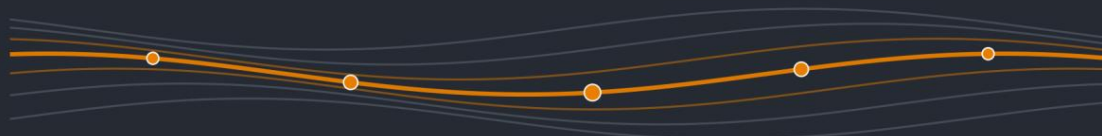
EVIDENCE THRESHOLD

A claim that stablecoins threaten banking or monetary control should be supported by balances, holding periods and substitution data—not by gross transfer value alone.

PART IV

The outlook

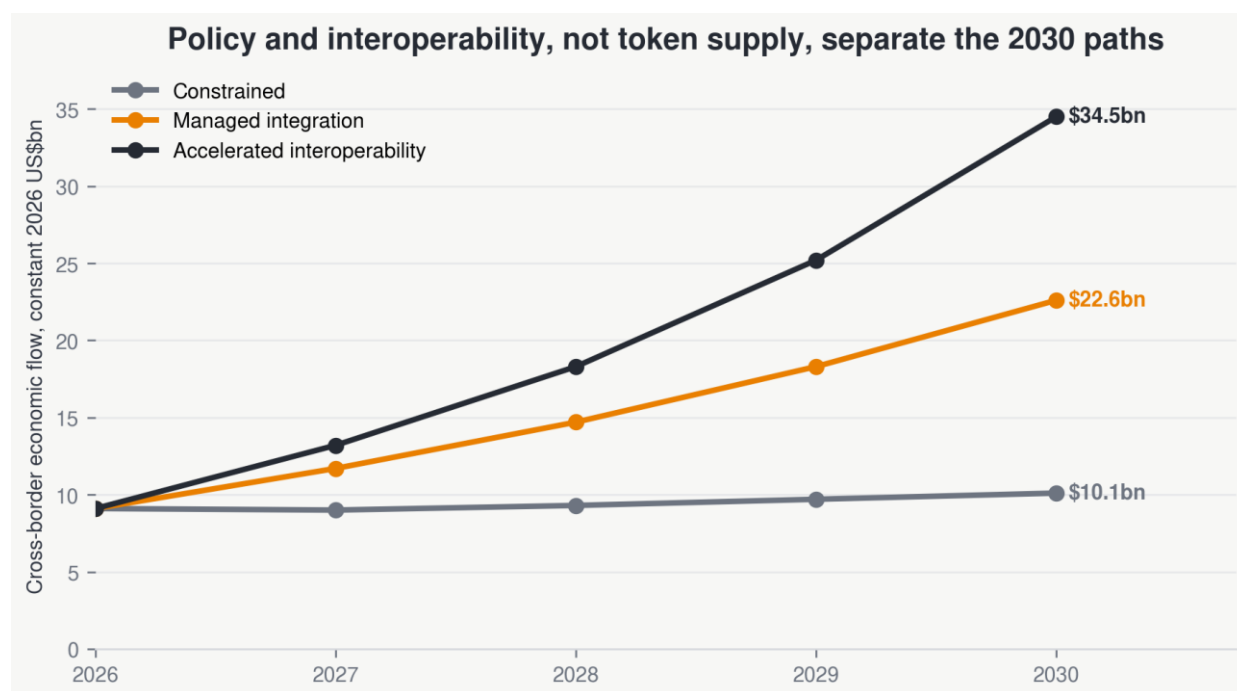
The 2030 outcome will be determined by supervised interoperability, evidence quality and customer protection—not by stablecoin supply alone.



RENALYTICA / POWERING SMART DECISIONS

11. OUTLOOK AND OPPORTUNITIES

Three paths define the 2030 decision range

**Exhibit 11-1. Cross-border economic-flow scenarios to 2030**

[Modelled] Constant 2026 US dollars. Constrained, managed-integration and accelerated-interoperability paths are not probability-weighted forecasts.

Scenario	Conditions	2030 flow	Market implication
Constrained	Uncertain enforcement; unstable bank access; high fraud; limited enterprise acceptance	US\$10.1bn	1.8% revenue rate; informal and trading-adjacent use persists
Managed integration	Clearer licensing; bank-fintech links; reporting; consumer and AML/CFT controls	US\$22.6bn	2.1% revenue rate; enterprise and income use scale
Accelerated interoperability	Regulated settlement connects with instant payments, trade platforms and African rails	US\$34.5bn	1.8% revenue rate; lower spreads, higher recurring flow

The scenarios begin at a US\$9.1 billion 2026 nowcast. Constrained growth is almost flat because regulatory and bank shocks offset underlying demand. Managed integration compounds as recurring business and payroll use migrates into supervised channels. Accelerated interoperability assumes better trade-system integration, regional coverage and lower total cost, but take rates compress with competition and scale. The highest-flow scenario does not produce the highest percentage margin.

11. OUTLOOK AND OPPORTUNITIES

Leading indicators should falsify the scenarios early

Monitor scenarios with operational signals			
Indicator	Constrained signal	Managed signal	Accelerated signal
Licensed enterprise rails	Few; unstable bank access	Multi-bank partnerships	Interoperable at scale
Economic-flow reporting	No common taxonomy	Quarterly VASP use-case data	Privacy-safe transaction observatory
All-in cost	No sustained advantage	2–4pp advantage on priority corridors	Sub-2% on high-volume corridors
Consumer loss	Rising complaints / weak redress	Published loss and recovery rates	Interoperable recovery standards
Naira conversion share	Opaque, fragmented	Reported by corridor / use case	Integrated FX monitoring
Enterprise adoption	Mostly workaround use	Recurring SME settlement	Bank-embedded corporate products

Exhibit 11-2. Scenario leading-indicator scorecard

[Analyst assessment] Renalytica. Indicators should be updated quarterly where data permit.

Domain	Indicator	Evidence owner
Regulatory	Final issuer / service rules; time to authorisation; enforcement consistency	SEC / CBN public tracker
Bank connectivity	Number of active bank–VASP relationships; unexplained closures; settlement SLA	Aggregated supervisory return
Economic use	Share of flow with verified remittance, trade, income or treasury code	VASP / bank reporting
Customer outcome	All-in cost, completion, failure, fraud loss and recovery	Corridor observatory
Liquidity	Spread, depth, concentration and payout failures by corridor	Provider and market data
Macro	Holding duration, naira conversion, stablecoin balances and bank-deposit substitution	CBN / survey / provider data

FALSIFICATION RULE

If managed integration does not produce falling customer loss, stable bank links and a higher share of purpose-coded flow by end-2028, the scenario should be revised downward even if gross on-chain volume rises.

11. OUTLOOK AND OPPORTUNITIES

Infrastructure and enterprise workflows lead the opportunity set

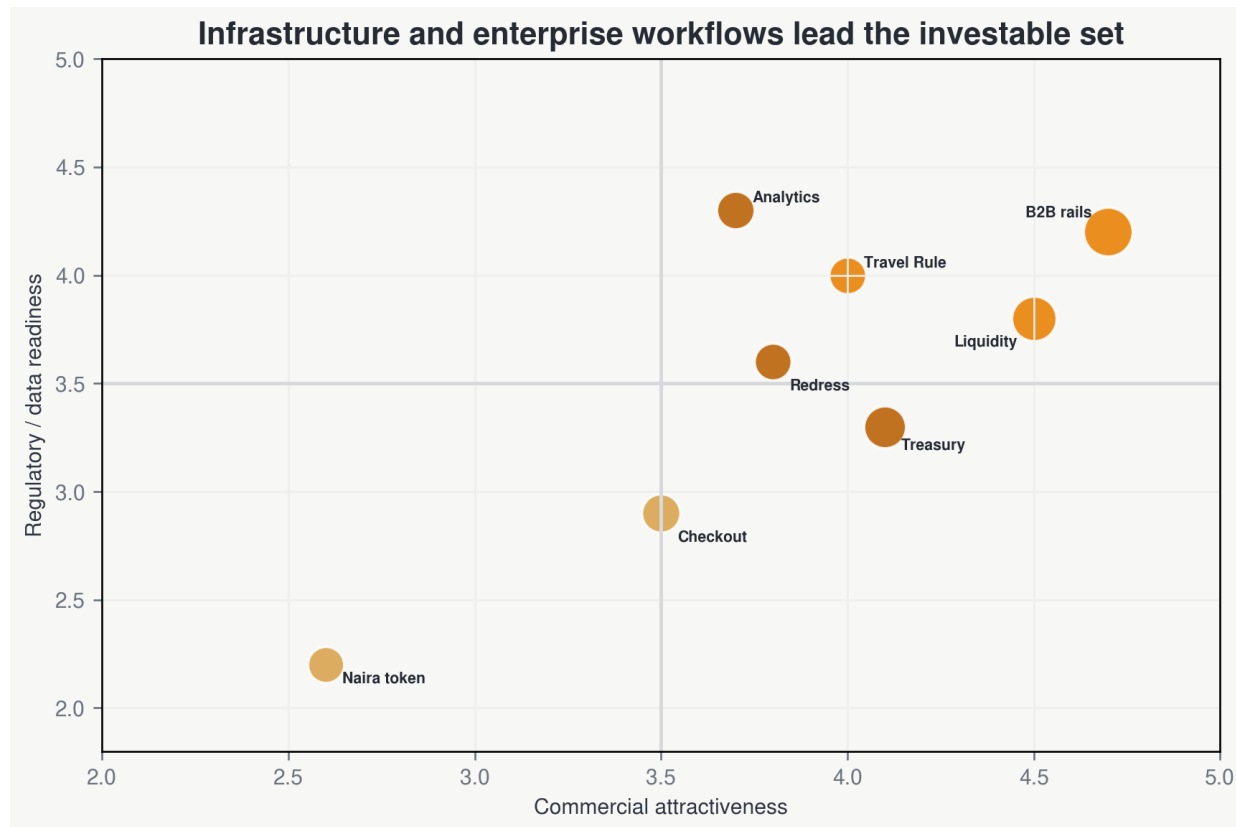


Exhibit 11-3. Commercial opportunity matrix

[Analyst assessment] Attractiveness combines addressable demand, monetisation and defensibility; readiness combines evidence, regulatory clarity and execution feasibility.

Opportunity	Market proof	Monetisation	Dependency	Falsifiable milestone
Compliance-grade B2B rails	US\$3.3bn base use-case flow	Take rate + subscription	FX / payment perimeter	Three recurring corridors; <2% failure
Liquidity and netting	Prefunding and thin corridor liquidity	Spread + financing	Capital / counterparty	Lower prefunding days and payout failures
Travel Rule / compliance tools	Rising supervisory requirements	SaaS + usage	Standards fragmentation	Lower false positives; high counterparty coverage
Corridor analytics	No use-case data standard	Data subscription / infrastructure	Privacy and reporting access	Quarterly benchmark adopted by regulators
Consumer redress infrastructure	Fragmented complaints and irreversible loss	B2B service / shared utility	Liability allocation	Recovery and resolution metrics improve
Stablecoin treasury	Business liquidity and settlement timing	Subscription + execution	Board, accounting and FX rules	Verified enterprise retention

12. RECOMMENDATIONS

Government and regulators: make useful activity visible and accountable

#	Action	Owner	Horizon	Measure	Implementation risk
1	Joint perimeter and definitions	Coordination council with CBN, SEC, NFIU, NRS, NDPC, FCCPC	0–6m	One public map; worked product examples; unresolved matters assigned	Slow interagency agreement
2	Purpose-coded reporting standard	CBN / SEC / NFIU	0–12m	Quarterly aggregated adoption, flow, corridor, cost and loss data	Privacy and inconsistent systems
3	Supervised B2B corridor pilot	CBN lead; SEC/NFIU; banks and VASPs	6–18m	Cost, completion and loss benchmarks met on 2–3 corridors	Pilot becomes implicit broad approval
4	Reserve and redemption regime	SEC / CBN	6–18m	Eligible assets, segregation, assurance, redemption and insolvency rules	Foreign issuer enforceability
5	Consumer redress protocol	FCCPC + sector regulators	0–12m	Single complaint owner; public recovery and resolution metrics	Liability disputes

The pilot should not be a generic sandbox. Its hypothesis is that stablecoin-enabled enterprise settlement can reduce total cost and completion time while preserving FX and AML/CFT visibility. Participants should include licensed banks, SEC-supervised VASPs, payment providers, NFIU and a limited set of verified importers or service exporters. Caps, eligible tokens, corridors, customer types, disclosures, incident reporting, complaint handling and exit criteria must be defined before launch.

SCALE GATE

Expand only if all-in cost improves, Travel Rule and purpose data are complete, loss stays within the conventional benchmark and no material FX-reporting gap emerges.

12. RECOMMENDATIONS

Banks, fintechs, issuers and exchanges: compete on outcomes

Actor	Priority action	Core KPI	Horizon
Banks	Publish risk-based VASP account standards and escalation; build purpose-coded settlement APIs	Active relationships, closure reasons, settlement uptime	6–12m
Fintechs / payment firms	Own end-to-end quote, status, complaints and reconciliation	All-in cost, completion, failure, fraud and recovery	Immediate
Exchanges / OTC	Separate trading, hedging and economic-payment reporting; disclose liquidity and custody controls	Purpose-coded share, spreads, bank concentration	6–12m
Stablecoin issuers	Provide Nigeria-accessible reserve, redemption, sanctions and incident information	Redemption time, restrictions, chain incidents	6–12m
Compliance / custody providers	Support Travel Rule interoperability, unhosted-wallet risk and privacy-safe data	Coverage, false positives, investigation time	12–24m
PAPSS / regional rails	Run comparative corridor tests and explore governed interoperability	Cost, settlement, exceptions and local-currency use	12–24m

Providers should disclose the stablecoin, chain, custody model, reserve information source, all-in price, finality, complaint route and recovery limits before the customer confirms. Enterprise customers need additional counterparty, invoice and reporting controls. A ‘compliance-ready’ marketing claim should be replaced by evidence of licences, partner roles, monitoring coverage and actual loss outcomes.

Banks should avoid unstructured de-risking. A clear risk appetite, account taxonomy and incident escalation can reduce both hidden activity and unnecessary exclusion. VASPs should expect ongoing monitoring and data obligations rather than treating bank access as a one-time onboarding event.

12. RECOMMENDATIONS

Investors and development partners: fund evidence before scale

Theme	Proof of demand	Monetisation	Dependency / loss	Milestone
B2B settlement	Recurring verified invoices and corridor repeat	Net revenue after liquidity / compliance	Licence and bank dependency	12-month cohort retention and loss
Liquidity	Reduced prefunding and failed payout	Spread / financing margin	Counterparty and capital risk	Days of prefunding released
Compliance technology	Regulatory demand and cross-border counterparties	SaaS and usage	Standards / data access	False-positive and investigation reduction
Consumer protection	Complaint volume and fragmented recovery	Shared utility / B2B fee	Liability and participation	Recovered value and resolution time
Measurement infrastructure	Policy and diligence data gap	Subscription / public-private support	Privacy and reporting mandate	Adoption by supervisors and industry

Investment committees should resist volume theatre. A provider may process billions while earning little, taking material counterparty exposure or depending on one bank. Diligence should reconcile processed volume to unique customers, economic purpose, repeat cohorts, gross and net revenue, liquidity cost, confirmed loss, regulatory status and cash generation. Global metrics must be separated from Nigeria metrics.

Development partners should fund public goods that individual firms underprovide: a corridor cost observatory, privacy-preserving reporting taxonomy, consumer-redress standards, women-led SME onboarding, investigator capability and independent impact evaluation. Grants should include falsifiable outcome targets and a plan for local institutional ownership.

Sequence evidence, safeguards and interoperability before scale

Stakeholder	0–12 months	12–24 months	24–48 months
Government / council	Common taxonomy; policy map	Data-sharing framework	Statutory coordination
CBN / SEC / NFIU	Joint perimeter note	Supervised corridor pilots	Risk-based scale-up
Banks / fintechs	Account and controls design	API / liquidity integration	Enterprise products
Issuers / exchanges	Nigeria disclosures	Redemption + complaints metrics	Interoperable standards
Investors / partners	Fund evidence infrastructure	Back measurable corridor proof	Scale only after loss data

Exhibit 12-1. Sequenced stakeholder roadmap

[Analyst assessment] Renalytica.

APPENDIX A

Methodology and limitations

Element	Method
Research type	Desk research and model-based analysis. No interviews, survey, transaction diaries or proprietary company datasets were provided or conducted.
Data cut-off	25 August 2026. Sources published after this date are excluded.
Base year	2025 uses the latest complete reported analytics period and macro year; 2026 is a nowcast.
Top-down model	All-crypto received value × stablecoin share × economic-retention share × cross-border share.
Bottom-up check	Economically active individuals and businesses × segment frequency × ticket size, reconciled by use case.
Revenue model	Use-case flow × business-model-specific monetisation, expressed as a blended case rate.
Direct value added	Provider revenue × Nigerian value-added share after imported and intermediate inputs.
2030 scenarios	Annual decision ranges in constant 2026 US dollars; not probability-weighted forecasts.
Naira conversion	₦1,500/US\$ constant presentation rate; not an FX forecast.

Principal limitations

- Geographic attribution of blockchain activity is inferred from exchange and web-traffic signals and may miss offshore or VPN-mediated use.
- Public sources do not consistently separate stablecoins from other crypto assets, economic payments from trading, or cross-border from domestic use.
- Provider metrics use different periods and definitions and are mostly not audited; they are not used as market shares.
- The model does not estimate outstanding stablecoin balances held by Nigerians, tax revenue, indirect GDP effects or illicit-market size.
- Regulatory interpretation may change as proposed rules, the coordinating framework, tax policy and legislation develop.

APPENDIX B

Model assumptions and reproduction table

Input	Low / base / high	Rationale	Confidence	Sensitivity
Gross all-crypto received	US\$92.1bn	Chainalysis Jul 2024–Jun 2025	Moderate	±15%
Stablecoin share	45% / 60% / 70%	IMF >65% of cross-border crypto inflows in 2024; model range	Low	50–70%
Economic-retention share	15% / 22% / 30%	Deduction for trading, churn, internal and circular activity	Low	15–30%
Cross-border share	55% / 65% / 75%	Use-case and IMF descriptions	Low	55–75%
Individuals	1.3m / 2.4m / 4.8m	Bottom-up segment calibration	Low	Frequency / ticket
Businesses	45k / 105k / 240k	Bottom-up segment calibration	Low	Concentration
Blended take rate	1.8% / 2.6% / 3.4%	Business-model synthesis	Low	1.5–3.5%
Local value-added share	40% / 41% / 45%	Imported infrastructure / liquidity deduction	Low	30–55%
Eligible savings flow	60% / 70% / 78%	Share with comparable alternative	Low	50–85%
Cost advantage	1.7 / 2.25 / 3.15pp	World Bank benchmark and route model	Low	0–4pp

Reproduction example, base case: US\$92.1bn × 60% = US\$55.26bn gross stablecoin-associated flow; × 22% = US\$12.16bn economically attributable flow; × 65% = US\$7.90bn cross-border economic flow. Revenue: US\$7.90bn × 2.6% = US\$205m. Direct value added: US\$205m × 41% = US\$84m. User savings: US\$7.90bn × 70% × 2.25% = US\$124m. Minor differences reflect rounding.

APPENDIX C

Evidence register — headline and market claims

Claim	Value	Period	Source	Confidence	Limitation
Nigeria all-crypto value received	US\$92.1bn	Jul 2024–Jun 2025	Chainalysis 2025 SSA	Moderate	All crypto; geographic attribution
Prior all-crypto value	~US\$59bn	Jul 2023–Jun 2024	Chainalysis / IMF	Moderate	Not economic stablecoin flow
Adoption rank	#6	2025	Chainalysis index	Moderate	Composite index; methodology dependent
Stablecoin share of cross-border crypto inflow	>65%	2024	IMF Annex VII	Moderate	Analytics estimate
Nigeria share of SSA stablecoin inflows	~60%	Late 2019–early 2025	IMF Annex VII	Moderate	Regional attribution
Personal remittances	US\$22.8bn	2025	World Bank WDI	High	Official balance-of-payments concept
SSA remittance cost	8.78%	Q1 2025	World Bank RPW	High	Sample / provider mix
Global stablecoin supply	US\$303.3bn	25 Aug 2026	DefiLlama	Moderate	Commercial live snapshot
Cross-border economic flow	US\$3.4–14.5bn	2025	Renalytica model	Low	Churn and purpose unobserved
Active individuals	1.3–4.8m	2025	Renalytica model	Low	No national user dataset

REGISTER RULE

No modelled headline should be repeated without its status and principal limitation.

APPENDIX C

Evidence register — regulatory and company claims

Claim	Value / status	Source	Confidence	Limitation
CBN VASP account guideline	Issued 22 Dec 2023	CBN	High	Bank-account framework, not omnibus licence
SEC ARIP operators	Busha and Quidax listed	SEC Nigeria	High	Conditional incubation / provisional status
cNGN status	Regulatory incubation	SEC Nigeria	High	Not final approval
SEC revised capital	₦0.3–2.0bn by category	SEC, Jan 2026	High	Applies by regulated entity type
Executive Order	Coordination council	Presidency, 18 Jul 2026	High	Implementation still developing
SEC proposed digital-asset rules	Exposure draft	SEC, 20 Aug 2026	High	Not binding final law
Tether 2025 audit	Unqualified KPMG US opinion	Tether announcement	Moderate-high	Issuer communication; audit scope matters
Circle Q2 circulation	US\$73.3bn	Circle results	Moderate-high	Global, not Nigeria-specific
Yellow Card processed volume	>US\$10bn	Company website	Low-moderate	Global, company-reported
MANSA stablecoin volume	>US\$598m	Company website	Low-moderate	Global, company-reported
cNGN early adoption	66m tokens; ~20 wallets; 74 tx	IMF Annex VII	Moderate	Early 2025 snapshot

The full working evidence register should be maintained as a machine-readable file in a primary-research phase, with one row per claim, unit, geography, period, definition, publication date, original URL, evidence strength, limitation and exhibit. This publication presents the material subset needed to audit its conclusions.

APPENDIX D

Glossary

Term	Meaning in this report
AML/CFT/CPF	Anti-money laundering, countering financing of terrorism and counter-proliferation financing.
ARIP	SEC Nigeria's Accelerated Regulatory Incubation Program; admission is conditional and not an unrestricted final licence.
Attestation	An assurance engagement on specified information; scope differs from a full financial-statement audit.
CBDC	Central bank digital currency, a liability of the central bank.
Depeg	Deviation of a stablecoin's market value from its reference value.
Economic purpose	Underlying payment, trade, income, treasury or preservation reason for a transaction.
Fiat edge	Point where sovereign currency enters or exits a digital-asset service.
IMTO	International money transfer operator licensed for relevant remittance activity.
Naira stablecoin	Private digital token referencing the naira; not automatically a CBDC or legal tender.
On/off-ramp	Service converting between fiat money and digital assets.
P2P	Peer-to-peer transaction between users, sometimes coordinated through a marketplace and escrow.
Reserve-backed	Token supported by assets intended to meet holder redemption claims.
Stablecoin	Token designed to maintain a reference value; mechanisms and legal claims differ.
Travel Rule	Requirement for covered institutions to obtain, hold and transmit originator and beneficiary information for qualifying transfers.
Unhosted wallet	Wallet controlled by a user rather than a regulated custodian.
VASP	Virtual asset service provider under applicable functional definitions.

APPENDIX E

Proposed user and business survey

FIELDWORK DESIGN

Target 800–1,200 respondents across stablecoin users and non-users: remittance senders/receivers, freelancers, creators, importers, exporters, online merchants, students, travellers and treasury users. Oversample women-owned firms and secondary cities.

Module	Core questions
Screening	Residence, role, business size, sector, city, cross-border activity, digital-asset awareness and use
Adoption	Stablecoins used, first/last use, frequency, active months, wallet/exchange/provider and custody model
Purpose	Remittance, income, supplier, trade, treasury, merchant, education/travel, saving/hedging, trading or other
Transaction	Last transaction date, amount, currencies, token, chain, origin/destination, counterpart and documentation
Cost	Explicit fee, FX quote and benchmark, network fee, cash-out cost, hidden deduction and total amount received
Time / quality	Initiation-to-receipt time, compliance delay, failure, reversal/recovery, support and satisfaction
Risk	Scam, wrong address, account takeover, depeg, freeze, agent loss, bank issue and amount lost/recovered
Alternative	Method otherwise used, reason for switching, price and time of alternative
Trust / disclosure	Understanding of issuer, reserves, redemption, custody, sanctions and complaint route
Inclusion	Phone ownership, identity, bank account, disability, gender, income band, digital literacy and assistance needs

Sampling should combine nationally distributed recruitment with verified provider cohorts and a non-user comparison group. Weighting must not turn convenience samples into national prevalence. For sensitive transaction data, request ranges where exact values reduce response quality and obtain explicit consent for linkage. Publish sample frame, completion rate, questionnaire, weights and confidence intervals.

APPENDIX F

Proposed interviews, company data and transaction diaries

EXPERT PROGRAMME

Conduct 30–45 interviews across CBN, SEC, NFIU, NRS, NDPC, FCCPC, banks, IMTOs, exchanges, payment firms, issuers, liquidity providers, compliance vendors, importers, freelancers, consumer advocates and researchers.

Theme	Interview prompt
Market evidence	Which available number is most misleading, and why? What private data could replace it?
Use case	Describe one end-to-end transaction, including fiat, token, data, fee, spread, exception and alternative.
Regulation	Which permission is required at each stage? Where do authorities or rules conflict?
Risk	Where has loss occurred? Who absorbed it? Which control failed?
Economics	Who pays, what is net revenue, and what do liquidity, compliance, fraud and bank access cost?
Counter-position	What evidence would make you conclude that stablecoins are not a material payment opportunity?

Company data partnerships

Seek 6–10 firms willing to provide de-identified monthly data: verified active individuals and businesses; economic-purpose code; origin and destination; token and chain; gross amount; fee and FX spread; completion and failure; fraud and recovery; bank and liquidity partner; and revenue net of direct transaction cost. Require a common data dictionary and independent reconciliation to platform totals.

Transaction diaries

Recruit 60–100 users for six to eight weeks. Capture every eligible transaction with screenshots or receipts, initiation and completion time, quoted and realised FX rate, all charges, exceptions, support contacts and the method the participant would otherwise use. Diaries reveal costs and failures that recall surveys miss.

APPENDIX G

Sources and live links — Nigeria

N1. Central Bank of Nigeria. Reforms and initiatives; VASP accounts, IMTO and 2026 payment / AML measures. [Open source](#)

N2. Central Bank of Nigeria. Licensed International Money Transfer Operators. [Open source](#)

N3. Central Bank of Nigeria. Regulatory Sandbox. [Open source](#)

N4. SEC Nigeria. Registered FinTech operators and ARIP / incubation status. [Open source](#)

N5. SEC Nigeria. Rules and Regulations; digital assets rules dated 11 May 2022. [Open source](#)

N6. SEC Nigeria. Revised minimum capital for regulated entities. [Open source](#)

N7. SEC Nigeria. Proposed rules on digital and virtual assets, 20 August 2026. [Open source](#)

N8. State House. Executive Order on virtual assets and coordinating council, 18 July 2026. [Open source](#)

N9. NFIU. Annual Report 2025. [Open source](#)

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N11. NDPC. General Application and Implementation Directive 2025. [Open source](#)

N12. FCCPC. Consumer complaint handling. [Open source](#)

APPENDIX G

Sources and live links — official international evidence

- I1. **IMF.** Nigeria: 2026 Article IV Consultation, Annex VII. [Open source](#)
- I2. **IMF.** Stablecoins in Nigeria: A Growing Cross-Border Channel. [Open source](#)
- I3. **IMF.** Stablecoins and Emerging Markets remarks, 7 August 2026. [Open source](#)
- I4. **World Bank.** Nigeria country data. [Open source](#)
- I5. **World Bank.** Personal remittances received — Nigeria. [Open source](#)
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- I7. **BIS.** Annual Economic Report 2026, Chapter III. [Open source](#)
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- I9. **FSB.** High-level recommendations for global stablecoin arrangements. [Open source](#)
- I10. **FATF.** Seventh Targeted Update on virtual assets and VASPs, 2026. [Open source](#)
- I11. **European Commission.** Markets in Crypto-Assets framework and implementing acts. [Open source](#)
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- I13. **MAS.** MAS finalises stablecoin regulatory framework. [Open source](#)
- I14. **White House.** GENIUS Act fact sheet, 18 July 2025. [Open source](#)
- I15. **FSCA South Africa.** New Financial Service Provider / CASP licensing. [Open source](#)

APPENDIX G

Sources and live links — analytics, issuers and companies

- M1. Chainalysis.** 2025 Global Crypto Adoption Index. [Open source](#)
- M2. Chainalysis.** Sub-Saharan Africa crypto adoption 2025. [Open source](#)
- M3. Chainalysis.** Sub-Saharan Africa crypto adoption 2024. [Open source](#)
- M4. DefiLlama.** Stablecoin market dashboard. [Open source](#)
- M5. Tether.** Q2 2026 results and reserve buffer. [Open source](#)
- M6. Tether.** 2025 financial-statement audit announcement. [Open source](#)
- M7. Circle.** Second quarter 2026 results. [Open source](#)
- M8. Circle.** USDC transparency and reserves. [Open source](#)
- M9. Yellow Card.** Stablecoin payment infrastructure. [Open source](#)
- M10. Bitnob.** Nigeria product page. [Open source](#)
- M11. Quidax.** Stablecoin and exchange infrastructure. [Open source](#)
- M12. Juicyway.** Cross-border multi-currency product. [Open source](#)
- M13. MANSA.** Liquidity infrastructure and company metrics. [Open source](#)
- M14. cNGN.** Issuer transparency page. [Open source](#)
- M15. PAPSS.** How the cross-border infrastructure works. [Open source](#)

All web sources accessed 25 August 2026 unless a publication date is stated. Live dashboards may change after access.

CONCLUSION

Stablecoins are already useful; the task is to make usefulness governable

Nigeria’s stablecoin cross-border economy is neither the US\$92.1 billion all-crypto headline nor a marginal experiment. The evidence supports a material but uncertain economic channel: US\$3.4–14.5 billion in 2025, with a US\$7.9 billion base case. The strongest demand sits in supplier settlement, digital income and remittance. The most durable commercial value sits in fiat access, liquidity, compliance, reconciliation and recovery.

The market’s weaknesses are equally clear. Economic purpose is poorly observed. Provider claims are not comparable. The regulatory perimeter spans SEC, CBN, NFIU, tax, data and consumer authorities without a complete public transaction map. Irreversible losses can fall on the least sophisticated users. Dollar liquidity can improve trade while weakening naira visibility and, at scale, monetary transmission.

A managed-integration path is therefore more credible than either prohibition or permissive ambiguity. Nigeria should bring useful activity into supervised rails, require transparent reserves and redemption, link naira conversion to purpose and corridor data, enforce cross-border AML/CFT cooperation, and create a complaint system that survives a multi-provider stack. Firms should compete on total customer outcome, not network speed or processed volume.

RENALYTICA CONCLUSION

Measure the economic transaction. Regulate the accountable service. Preserve visibility at the fiat edges. Scale only when cost, loss, inclusion and macro indicators justify it.

US\$7.9bn

2025 BASE FLOW
Low confidence

US\$22.6bn

2030 MANAGED PATH
Decision range

6–12 months

PRIORITY POLICY WINDOW
No-regret actions

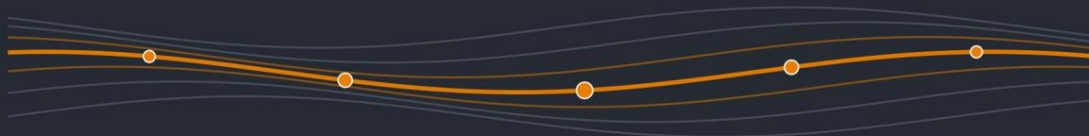


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STABLECOINS AND NIGERIA'S CROSS-BORDER ECONOMY / 2026 EDITION